Canada Bread Company, Limited

2011 ANNUAL REPORT



CANADA BREAD®

Canada Bread is a leading manufacturer and distributor of value-added and nutritious fresh and frozen bakery products, specialty breads, and fresh pasta and sauces.



At a Glance

Canada Bread operates two core businesses:

FRESH BAKERY

Our **Fresh Bakery** business includes pantry breads, rolls, flatbreads, artisan breads, sweet goods and snack cakes sold under a number of leading brands, including Dempster's®, Villaggio®, POM®, Bon Matin®, Sunmaid® and Ben's®. We also own Olivieri®, a leading brand of fresh pasta and sauce products which is marketed across North America.

FROZEN BAKERY

Our **Frozen Bakery** business is a major North American producer and distributor of frozen unbaked, par-baked and fully-baked bread products. Our U.K. operation is a leading specialty bakery producing bagels, croissants and specialty breads. Key brands include Wholesome Harvest™ frozen bakery products, Tenderflake® ready-to-bake pastry products, and New York Bakery Co.® in the U.K.

Through our Fresh and Frozen Bakery operations, we serve retail stores, in-store bakery departments and foodservice customers across North America and the United Kingdom.

Canada Bread employs approximately 6,000 people and operates nearly 34 facilities across Canada, the United States and in the United Kingdom. The Company is 90% owned by Maple Leaf Foods Inc.

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To Our Fellow Shareholders

In 2011 our adjusted operating earnings at $109.8 million were largely consistent compared with $111.5 million in the prior year. Adjusted earnings per share increased to $3.43 compared to $2.90 in 2010 as the Company benefited from a tax adjustment related to a prior acquisition. This earnings stability was achieved against a backdrop of food inflation and high wheat and other commodity costs that presented significant short-term challenges.

Wheat prices climbed roughly 50% in the first half of 2011, and higher oil prices impacted the cost of freight, manufacturing and other indirect costs such as packaging materials. In the face of rising input costs we passed through price increases and reduced selling, general and administrative expenses; however, our profitability was affected. We also experienced some temporary margin pressure as a result of anticipated duplicative overhead costs related to changes in our manufacturing network, which were expected and will decline this year.

We have a significant opportunity to reduce costs through increasing scale in our network of bakeries. In July 2011 we commissioned our new fresh bakery in Hamilton, Ontario, one of the largest in North America. This was an incredibly complex undertaking, but was executed smoothly, on time and on budget thanks to a very detailed execution plan and highly skilled team. In early 2012 we closed two bakeries and consolidated production into the Hamilton facility; a third bakery is scheduled to close in early 2013. Once completed, this consolidation will significantly reduce overhead costs. The new bakery also provides us an important footprint to support growth and innovation in the business.

Performance in our U.K. business is improving, benefiting from our initiatives to concentrate production at very efficient facilities such as the Rotherham bagel plant and our croissant bakery in Maidstone. We have also recently closed our bakery in Walsall, with some of the production moving to our specialty bakery in London, where we have available capacity. This will contribute to margin growth in 2012.

Cost reduction is important and achievable, but what drives long-term growth in this business are great innovation, breakthrough marketing and category expansion. This is clearly evident in our U.K. business, where the successful reformulation and re-launch of our New York Bakery Co.® bagels led to significant sales growth last year. We are now identifying other categories where we can take this exciting brand. In our fresh bakery business, we recently extended our leadership in the Canadian whole grains market with Dempster's® Smooth Multigrains bread, which contains 16 whole grains, each finely milled so that every slice is soft and smooth. We also introduced Dempster's Wholegrains™ Canadian Century Grains, made with 100% Canadian wheat as well as a blend of Red Spring wheat and Red Fife wheat – varieties with roots tracing back over a century. In our Olivieri® fresh pasta and sauce business we broadened into the garlic bread category, with excellent results. Through creative advertising based on the theme "make every day special" we increased pasta volumes by 4% and our household penetration to almost 19%. In our North American frozen bakery business we extended our popular Tenderflake® product line with the addition of Easy Pie! pastry and crumble topping pie kits, which include everything but the filling.

We have an excellent business, with leading brands and market shares – the foundation for success in any food company. A deep thank you goes out to our employees and our franchisees, for your pride and skill in your work and your dedication to bringing these great products to market.



Richard A. Lan
President and
Chief Executive Officer



Michael H. McCain
Chairman

Management's Discussion and Analysis

February 27, 2012

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or the "Company"), 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf Foods"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products, and fresh pasta and sauces. The Company employs approximately 6,000 people at its operations across North America and in the U.K.

OPERATING SEGMENTS

The Company reports in two segments: Fresh Bakery and Frozen Bakery.

The Fresh Bakery segment produces fresh bakery products, sweet goods, and specialty fresh pasta and sauces. The Frozen Bakery segment is comprised of frozen par-baked bakery products sold in North America and the U.K. bakery business which specializes in bagels, croissants, and specialty breads.

FINANCIAL OVERVIEW

2011 sales were $1,595.5 million compared to $1,588.4 million last year. After adjusting for the impacts of the sale of the Company's fresh sandwich product line in February 2011 and currency translation on U.K. and U.S. sales from a stronger Canadian dollar, sales increased by 3.4% compared to last year, mostly due to price increases implemented in the first half of 2011. This benefit was slightly offset by lower sales volumes in the fresh bakery and North American frozen bakery businesses.

Adjusted Operating Earnings[(1)] declined 1.6% to $109.8 million in 2011, compared to $111.5 million last year. Margins were compressed as the price increases implemented earlier in 2011 were not sufficient to fully recover increased raw material and other inflationary costs. Although the Company benefited from operating efficiencies generated from network optimization initiatives in the frozen bakery business and reduced selling, general and administrative expenses, earnings were also impacted by the duplicative overhead costs related to its new fresh bakery in Hamilton, Ontario, and by costs due to supply chain disruptions related to the installation of SAP in the fresh bakery Western Canada operations during the fourth quarter.

In February of 2011, the Company completed the sale of its fresh sandwich product line for $8.0 million, and as a result earnings improved versus last year as this business incurred losses during 2010.

Adjusted Earnings per Share[(2)] increased to $3.43 per share in 2011 from $2.90 per share last year, and included $0.38 per share related to a tax adjustment associated with a prior acquisition.

Net earnings in 2011 were $52.0 million ($2.04 basic earnings per share) compared to $62.1 million ($2.44 basic earnings per share) last year and included $46.4 million pre-tax restructuring costs (2010: $15.5 million).

Notes:

(1) Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense).

(2) Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 30 of this Management's Discussion and Analysis for a description and reconciliation of all non-IFRS financial measures.

Management's Discussion and Analysis

SELECTED FINANCIAL INFORMATION

The following table summarizes selected financial information for the three years ended December 31, 2011:

($ millions except earnings per share ("EPS") figures)	**2011**	2010	2009[ii]
Sales	**$ 1,595.5**	$ 1,588.4	$ 1,705.8
Adjusted Operating Earnings[i]	**$ 109.8**	$ 111.5	$ 120.5
Net earnings	**$ 52.0**	$ 62.1	$ 77.5
Basic and diluted EPS	**$ 2.04**	$ 2.44	$ 3.05
Adjusted EPS[i]	**$ 3.43**	$ 2.90	$ 3.20
Total assets	**$ 964.5**	$ 912.9	$ 986.4
Net Debt (Cash)[i]	**$ (52.0)**	$ (72.7)	$ (50.9)
Total long-term liabilities	**$ 78.9**	$ 68.9	$ 44.4
Return on Net Assets ("RONA")[i]	**10.3%**	12.6%	10.2%
Cash provided by operating activities	**$ 103.1**	$ 90.9	$ 109.0
Cash dividends per share	**$ 0.66**	$ 0.24	$ 0.24

(i) Please refer to the section entitled Non-IFRS Financial Measures starting on page 30 of this document for a description of all non-IFRS financial measures.

(ii) 2009 figures are in accordance with Canadian Generally Accepted Accounting Principles ("GAAP"), effective on or before January 1, 2010.

DISCUSSION OF FACTORS IMPACTING THE COMPANY'S OPERATIONS AND RESULTS

Fluctuating Input Prices

Changes in input prices have a significant influence on business performance for both the Company and the food industry. Wheat, dairy products and fuel constitute the primary input costs in the Company's operations, and as a result of substantial increases in 2011, placed significant pressure on the Company's profit margins during the year.

The price of wheat has been very volatile over the past several years. Wheat prices have recently been influenced by many factors, including, but not limited to:

- Changing demand from export markets
- Crop yields and supply shortfalls
- "Food for Fuel" initiatives sponsored by the U.S. government that have resulted in increased demand for grains, in particular corn that is used for ethanol production, and decreased land set aside for other crops such as wheat

Beginning in 2007, strong demand from export markets and shortfalls in world crops led to sharp increases in wheat prices that reached peak levels in mid-2008. Towards the end of 2008, prices started to decline, and remained lower throughout 2009 compared to 2008. In the second half of 2010, wheat prices rose by approximately 75%. That trend continued in the first six months of 2011, and despite some small declines in the second half of the year, prices remained at a relatively high level for the remainder of 2011.

Crude oil prices rose steadily in 2010 and remained at high levels throughout 2011, which increased freight, manufacturing and other indirect costs such as packaging materials.

The pace of the wheat price increases in 2010 and 2011, together with increases in other commodities such as fuel and dairy products, led to significant margin pressures across the Company's operations. Price increases were implemented in all bakery operations in early 2011 and forward contracts were utilized to provide some protection against the effects of higher wheat costs; however, the Company was not able to recover all cost increases during the year. The stronger Canadian dollar in 2011 somewhat reduced prices paid for U.S. dollar-denominated flour.

Management's Discussion and Analysis

The following tables outline the changes in key commodity indicators that have impacted the Company's business and financial results:

Wheat (USD per bushel)[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 8.50**	**$ 9.07**	$ 9.21	$ 9.46	$ 8.77	$ 8.84
2010	**$ 8.82**	**$ 6.23**	$ 5.15	$ 5.13	$ 6.82	$ 7.81
Change	**(3.6)%**	**45.6%**	78.8%	84.4%	28.6%	13.2%
2009	**$ 5.45**	**$ 6.06**	$ 6.32	$ 6.92	$ 5.61	$ 5.41

(i) Daily close prices (Source: Minneapolis Wheat Exchange)

Wheat (CAD per bushel)[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 8.64**	**$ 8.97**	$ 9.08	$ 9.15	$ 8.60	$ 9.04
2010	**$ 8.87**	**$ 6.40**	$ 5.36	$ 5.27	$ 7.11	$ 7.88
Change	**(2.6)%**	**40.2%**	69.4%	73.6%	21.0%	14.7%
2009	**$ 5.73**	**$ 6.83**	$ 7.61	$ 7.85	$ 6.14	$ 5.62

(i) Daily close prices (Source: Minneapolis Wheat Exchange and Bank of Canada)

Oil (USD per barrel)[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 98.83**	**$ 94.88**	$ 93.54	$ 102.23	$ 89.72	$ 94.01
2010	**$ 91.38**	**$ 79.48**	$ 78.64	$ 77.79	$ 76.05	$ 85.10
Change	**8.2%**	**19.4%**	18.9%	31.4%	18.0%	10.5%
2009	**$ 79.39**	**$ 61.95**	$ 42.91	$ 59.44	$ 68.20	$ 76.06

(i) Daily close prices (Source: Cushing, OK WTI Spot Prices FOB)

USD/CAD exchange rates[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 0.9833**	**$ 1.0117**	$ 1.0146	$ 1.0332	$ 1.0202	$ 0.9777
2010	**$ 1.0054**	**$ 0.9709**	$ 0.9618	$ 0.9729	$ 0.9622	$ 0.9871
Change	**(2.2)%**	**4.2%**	5.5%	6.2%	6.0%	(1.0)%
2009	**$ 0.9515**	**$ 0.8797**	$ 0.8039	$ 0.8584	$ 0.9113	$ 0.9461

(i) Daily close prices (Source: Bank of Canada)

Management's Discussion and Analysis

SUPPLY CHAIN STRATEGY

Canada Bread has established leading market shares through a number of acquisitions in North America and the U.K.

To maintain earnings growth, Management has determined that opportunities exist to increase supply chain efficiencies, by consolidating production from several older and smaller bakeries into focused centres of excellence.

In the Fresh Bakery operations, an extensive network of mid-sized facilities located across Canada creates the opportunity to consolidate some plants to drive scale efficiencies and provide additional capacity to support innovation and category expansion. As a result, in January 2010, the Company announced plans to build a new scale fresh bakery plant in southwestern Ontario, replacing three existing older and smaller facilities located in that region. In mid-2011, the Company commissioned this state-of-the-art 385,000 square foot fresh bakery in Hamilton, Ontario, employing some 300 people. The facility began shipping product in July and now has four of eight planned lines operating. Three bakeries in the Greater Toronto Area are being closed to consolidate production into the Hamilton facility. Two bakeries closed in the first quarter of 2012, and the remaining bakery is expected to close in early 2013. The concurrent operation of the new and existing bakeries during this transition period resulted in $6.1 million of duplicative overhead costs during 2011. The Company expects to incur further duplicative overhead costs during 2012, but to a lesser degree than in 2011. These costs are consistent with Management expectations. Also to increase plant network efficiencies, during the fourth quarter of 2011, the Fresh Bakery business decommissioned and transferred production from its Delta, British Columbia, plant to its other bakeries in Langley, British Columbia, and Edmonton, Alberta.

The Company also has an opportunity to streamline supply chain operations in its Frozen Bakery business. In March, 2011 the Company closed its frozen bakery plant in Laval, Quebec, and transferred production to other facilities. In the U.K., the Company is consolidating production from several smaller facilities to reduce costs and gain scale efficiencies.

SYSTEM CONVERSION

The Company has embarked on an initiative to consolidate its information technology systems onto a single platform, in order to standardize processes, reduce costs and enable a shared services structure. Management selected SAP software as its new platform and has since taken a rapid, yet carefully designed, approach to implementation. Successful execution has been enabled by changing existing businesses to standardized SAP processes, limiting any software modifications and rigorous master data controls. By the end of 2011, SAP had been fully installed across the entire North American frozen bakery operation, as well as numerous sites within the fresh bakery business including the Atlantic Region, Western Region and the new scale facility in Hamilton. While Management is pleased with progress to date, the Company did experience some challenges with the implementation of SAP in its fresh bakery Western Canada operations during the fourth quarter of 2011. Management has materially resolved these issues, and the project continues on track to be completed in 2013.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ millions)	**2011**[(i)]	2010	Change	2009[(ii)]
Fresh Bakery	**$ 1,087.3**	$ 1,086.8	0.0%	$ 1,119.8
Frozen Bakery	**$ 508.1**	$ 501.6	1.3%	$ 586.0
Total sales	**$ 1,595.5**	$ 1,588.4	0.4%	$ 1,705.8

(i) May not add due to rounding.

(ii) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Management's Discussion and Analysis

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)		**2011**		2010[(i)]	Change		2009[(ii)]
Fresh Bakery	$	**99.9**	$	100.2	(0.3)%	$	91.5
Frozen Bakery	$	**9.9**	$	11.4	(12.6)%	$	29.0
Adjusted Operating Earnings	$	**109.8**	$	111.5	(1.6)%	$	120.5

(i) May not add due to rounding.

(ii) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales were $1,087.3 million in 2011, compared to $1,086.8 million in 2010. After adjusting for the sale of the Company's fresh sandwich product line in February 2011, sales increased 3.6%, primarily due to price increases implemented earlier in 2011. This increase was slightly offset by lower sales volumes.

Adjusted Operating Earnings in 2011 were $99.9 million compared to $100.2 million last year. Lower margins in 2011 reflect the Company's exposure to higher input costs, in particular during the first quarter of the year when pricing lagged the increase in wheat and other inflationary costs. Margins were further affected by approximately $6.1 million of duplicative overhead costs associated with the commissioning of the Company's new fresh bakery in Hamilton, Ontario, in the second half of 2011, and by approximately $2.5 million in costs due to supply chain disruptions related to the installation of SAP in Western Canada during the fourth quarter. These factors were partly offset by cost reduction initiatives in selling, general and administrative expenses, and from the sale of the Company's fresh sandwich product line in February 2011, which incurred losses in 2010.

During the year, the Company continued to operate three smaller bakeries in the Greater Toronto Area as it gradually consolidates production to its new fresh bakery in Hamilton, Ontario. During this period the Company is incurring incremental overhead costs, which will be eliminated once all three bakeries are closed. Two of these plants closed in the first quarter of 2012, and the remaining bakery is scheduled to close in early 2013. The Company expects to incur further duplicative overhead costs during 2012, but to a lesser degree than in 2011. These duplicative costs are consistent with Management expectations.

The incremental costs related to the SAP implementation primarily affected the fourth quarter as they were specific to disruptions related to installation of the system in Western Canada, and are not expected to materially impact 2012.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales increased by 1.3% to $508.1 million from $501.6 million in 2010. Excluding the unfavourable effects of a stronger Canadian dollar on the translation of sales in the U.K. and U.S., sales increased 2.8%, predominantly as a result of price increases implemented earlier in 2011. Volumes remained consistent year-over-year, as increased sales in the U.K. led by the successful re-launch of the Company's New York Bakery bagels were partly offset by declines in other categories. Volumes were lower in the North American frozen bakery business.

Adjusted Operating Earnings in Frozen Bakery for 2011 were $9.9 million compared to $11.4 million last year. The reduction in earnings was primarily due to higher raw material costs that were not fully covered through price increases and lower operating costs. In response, Management intends to implement further price increases commencing in early 2012. During the year, the Company benefited from efficiency gains from the closure of the North American frozen bakery in Laval, Quebec, the consolidation of production in the U.K., and the effect of a stronger Canadian dollar on the translation of costs in the U.S. and U.K. Cost reductions in selling, general and administrative expenses also reduced

Management's Discussion and Analysis

the impact of higher raw material costs. In the fourth quarter, the Company decided that it will close its manufacturing of morning goods and specialty bakery products, and expects to incur approximately $12.7 million in pre-tax restructuring and other related costs, $6.8 million of which will be cash expenses.

GROSS MARGIN

Gross margin decreased to $311.0 million (19.5% of sales) in 2011, from $333.2 million (21.0% of sales) last year, driven primarily by higher raw material costs and overall inflation that were not fully recovered through pricing. Margins were further impacted in the Fresh Bakery business as a result of duplicative overhead costs as the Company transfers production from three sub-scale facilities to its new bakery in Hamilton, Ontario, and costs due to disruptions related to the installation of SAP in the fresh bakery Western Canada operations.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in 2011 decreased 9.2% to $201.2 million from $221.7 million last year, representing 12.6% and 14.0% of sales respectively. This significant decrease was driven by cost reductions implemented earlier in the year, in both the Fresh Bakery and the Frozen Bakery businesses. In addition, advertising and promotional costs declined in 2011 due to timing of marketing and new product promotions. These promotional cost reductions were partly offset by higher investments in the U.K. to support the re-launch of the Company's New York Bakery bagels during the first half of the year. The divestiture of the sandwich product line in the first quarter of 2011 further contributed to lower expenses.

OTHER INCOME / EXPENSE

Other income for the year was $0.4 million compared to other expense of $5.8 million in 2010. Other expense in the prior year was mostly related to the recognition of losses on interest rate swaps.

RESTRUCTURING AND OTHER RELATED COSTS

During the year ended December 31, 2011, the Company recorded restructuring and other related costs of $46.4 million ($35.3 million after-tax).

Of this amount, $24.2 million was incurred by the U.K. bakery business, related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancellation charges of $7.8 million, asset write downs and accelerated depreciation of $11.7 million, and other costs of $0.7 million. The Company also incurred $9.3 million in restructuring costs related to the closure of the Laval, Quebec, frozen bakery and the Delta, British Columbia, fresh bakery, and $2.9 million of restructuring costs related to the sale of the sandwich product line. The Company also recorded $7.5 million in restructuring costs for initiatives across the Company related to changes in management structure and related severances. The balance of the restructuring costs of $2.5 million was incurred in connection with other ongoing restructuring initiatives of the Company.

During the year ended December 31, 2010, the Company recorded restructuring and other related costs of $15.5 million ($11.6 million after-tax). Of this pre-tax amount, $10.4 million related to the Company's announcement to consolidate several fresh bakery facilities into one new bakery in Ontario. In addition, $2.0 million of these costs related to the realignments of the U.K. bakery operations. The Company also incurred $1.1 million in restructuring costs related to the sale of a fresh prepared foods facility in Quebec. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

Management's Discussion and Analysis

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at December 31, 2011 and December 31, 2010 all on a pre-tax basis:

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2011	**$ 11,228**	**$ 1,456**	**$ –**	**$ 384**	**$ –**	**$ 13,068**
Charges	**15,299**	**9,027**	**21,011**	**1,020**	**–**	**46,357**
Cash payments	**(11,552)**	**(2,365)**	**–**	**(208)**	**–**	**(14,125)**
Non-cash items	**–**	**(1,342)**	**(21,011)**	**–**	**–**	**(22,353)**
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2010	$ 2,272	$ 1,647	$ –	$ –	$ –	$ 3,919
Charges	11,721	1,529	1,614	384	300	15,548
Cash payments	(2,267)	(1,720)	–	–	–	(3,987)
Non-cash items	(498)	–	(1,614)	–	(300)	(2,412)
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068

INTEREST EXPENSE

Interest expense for the year was $1.1 million compared to $2.9 million last year. The decrease in interest expense is primarily due to amortization of terminated interest rate swaps in the prior year. The Company's average effective cost of borrowing for 2011 was approximately 3.8% (2010: 5.5%).

INCOME TAXES

The Company's income tax expense was comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 20.0% (2010: 28.4%) and taxes recoverable on restructuring and other related costs at a rate of 23.8% (2010: 25.4%). The lower tax rate on operating earnings was a result of the Company recording income tax reductions aggregating $12.4 million for the year, primarily comprised of adjustments arising from a prior acquisition in its fresh bakery business. The Company's effective tax rate for the year before these adjustments was 31.4%.

TRANSACTIONS WITH RELATED PARTIES

The Company's majority shareholder, Maple Leaf Foods, and its affiliates, other than the Company and its affiliates, are related parties. It is the Company's policy to conduct all transactions and settle all balances with related parties on arm's length terms and conditions.

Management's Discussion and Analysis

Fees paid to Maple Leaf Foods in 2011 for the following services were $47.4 million (2010: $50.5 million).

General Services

Maple Leaf Foods provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, provision of stock awards programs, Six Sigma, senior Maple Leaf Foods management time for operating involvement, merger and acquisition transactions, and access to bulk purchasing programs. Fees paid to Maple Leaf Foods in 2011 for these services pursuant to a Management and Affiliation Agreement entered into in August 1995 were $13.7 million (2010: $15.4 million).

Information Systems Services

During 2011, the Company received certain information system services from Maple Leaf Foods for a cost of $23.6 million (2010: $25.2 million). The decrease was the result of the completion of the centralization of all information systems support teams to Maple Leaf Foods, and charges in respect of the Company's SAP information system which occurred in 2010. Purchase of licenses, capitalization of implementation costs and operating costs related to the SAP program are all financed and paid by Maple Leaf Foods. These costs are charged back over the useful life of the related systems based on when the systems become available for use in the Company.

Engineering Services

During 2011, the Company received certain engineering services from Maple Leaf Foods for a cost of $1.9 million (2010: $1.1 million). The increase was directly related to higher levels of engineering required in the construction of the Company's new bakery in Hamilton, Ontario.

Marketing Services

During 2011, the Company received certain marketing and consumer services from Maple Leaf Foods for a cost of $3.7 million (2010: $3.4 million). The increase in marketing and consumer services mainly reflects the Company's increased focus on developing and launching new products, and incremental usage of central marketing services.

Six Sigma Services

During 2011, Six Sigma fees charged to the Company amounted to $4.5 million (2010: $5.4 million). In 2010, all Six Sigma resources were transferred from the Company to Maple Leaf Foods, and resources are provided to the Company from the central pool, while education, management and administrative resources related to Six Sigma continue to be incurred by Maple Leaf Foods and charged back to the Company.

Logistics

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party to the Company until December 2, 2011. For the period of the year that Day & Ross Transportation Group was a related party, the Company paid Day & Ross Transportation Group $2.2 million (for the year ended December 31, 2010: $1.6 million) for services in the normal course of business and at market prices. Trade payables to Day & Ross Transportation Group as at December 31, 2010 were $0.2 million and as at January 1, 2010 were $0.1 million.

Other Items

The Company has a $250.0 million revolving debt facility with Maple Leaf Foods to provide liquidity for general corporate purposes, repayable on June 30, 2012. This is described more fully in Note 12 in the consolidated financial statements.

The Company sponsors a number of defined benefit and defined contribution plans as described in Note 8 in the consolidated financial statements. The Company's contributions to these plans were $13.1 million in 2011 (2010: $11.1 million).

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any external directors of the Company.

Management's Discussion and Analysis

Remuneration of key management of the Company was comprised of the following expenses:

($ thousands)	**2011**	2010
Short-term employee benefits		
Salaries, bonuses and fees	**$ 6,358**	$ 6,443
Company car allowance	**153**	150
Other benefits	**68**	68
Total short-term employee benefits	**6,579**	6,661
Post-employment benefits	**372**	326
Share-based benefits[(i)]	**4,697**	3,728
Total remuneration	**$ 11,648**	$ 10,715

(i) The share-based benefits were granted by the Company's parent company.

During 2011, key management of the Company did not exercise any share options granted under this plan (2010: 70,000 options were exercised with total exercise price of $0.7 million).

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, the remaining unrealized derivative losses of $5.9 million related to two interest rate swaps in accumulated other comprehensive loss was charged to earnings in the fourth quarter of 2010. The counterparty of these interest rate swaps was Maple Leaf Foods.

GOVERNMENT INCENTIVES

During 2010, the Company received an interest free loan of $2.0 million from the Federal Economic Development Agency related to the construction of the new bakery in Hamilton, Ontario. The loan is repayable over a period of five years beginning in 2012. The Company received other incentives totalling $0.2 million in 2010. These incentives were recorded as reductions of cost of goods sold in the consolidated statements of earnings.

ACQUISITIONS AND DIVESTITURES

On September 30, 2011, the Company acquired the business of Humber Valley Bakery, a small fresh bakery in Newfoundland for $0.6 million, with the value assigned to intangibles and customer relationships. The Company incorporated the production into its existing facilities.

On April 11, 2011 the Company completed the sale of a bakery facility in Cumbria, U.K., which resulted in cash restructuring costs of $0.3 million.

On February 18, 2011, the Company completed the sale of substantially all the remaining assets that comprised its sandwich product line to Premium Brands Inc., a Canadian manufacturer of food products, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million. As part of the conversion to International Financial Reporting Standards ("IFRS"), on January 1, 2010 the Company recognized a goodwill impairment adjustment of $30.2 million.

Management's Discussion and Analysis

CAPITAL RESOURCES

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

As at December 31, 2011, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $273.8 million (2010: $289.4 million), and available cash of $56.1 million (2010: $76.6 million). There were $9.8 million in letters of credit outstanding as at December 31, 2011 (2010: $9.1 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf Foods Inc., which matured on December 27, 2011 and was extended for a six-month period to June 30, 2012. The Company expects to begin negotiations to renew the facility in the second quarter of 2012. The unsecured facility is subject to certain financial covenants. As at December 31, 2011, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company entered into a three-year committed accounts receivable securitization facility in October 2010. This program replaced the existing accounts receivable financing facility. Under the new facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At year end, the Company had $91.1 million (2010: $83.6 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $45.3 million (2010: $46.0 million) and a note receivable in the amount of $45.8 million (2010: $37.6 million). The maximum cash borrowings available to the Company under this program is $60.0 million.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the year 2011. This facility was accounted for as an off-balance sheet transaction under Canadian GAAP and continues to be accounted for in the same manner under IFRS effective January 1, 2011.

CAPITAL EXPENDITURES

Capital expenditures in 2011 were $112.5 million, compared to $66.6 million last year. A significant portion was related to the construction of the new fresh bakery in Hamilton, Ontario, which began initial production in July 2011. In 2011, the Company spent $71.2 million on the new bakery and expects total investment to be in line with the initial estimate of approximately $100 million.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $52.0 million at the end of the year, compared to $72.7 million as at December 31, 2010. The decrease in cash for the year is due to investment in property and equipment, and dividend payments, partly offset by cash flow from operations.

Management's Discussion and Analysis

Cash Flow from Operating Activities

Cash flow from continuing operations in 2011 was $103.1 million compared to $90.9 million last year. The increase is largely attributable to a reduced investment in non-cash operating working capital compared to last year and a decrease in cash tax payments.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $16.8 million in 2011 compared to an outflow of $4.1 million last year, due primarily to an increase in the quarterly dividend payment in the third quarter of 2011 compared to the prior year.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $106.9 million in 2011 compared to an outflow of $63.6 million last year, as a result of increased capital expenditures.

Capital expenditures for 2011 were $112.5 million compared to $66.6 million last year, primarily due to an investment in the new bakery facility in Hamilton, Ontario.

CONTRACTUAL OBLIGATIONS

The following is a summary of certain of the Company's material contractual obligations as at December 31, 2011:

Payments due by fiscal year:

($ millions)	**Total**	2012	2013	2014	2015	2016	Thereafter
Long-term debt[(i)]	**$ 4.1**	$ 2.5	$ 0.4	$ 0.3	$ 0.3	$ 0.3	$ 0.3
Lease obligations	**68.3**	19.4	14.2	10.0	7.2	4.9	12.6
Total contractual obligations	**$ 72.4**	$ 21.9	$ 14.6	$ 10.3	$ 7.5	$ 5.2	$ 12.9

(i) Does not include contractual interest payments.

As at December 31, 2011 the Company had entered into construction contracts of $8.8 million relating to the new bakery in Hamilton, Ontario.

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program for at least the next 12 months. Additional details concerning financing are set out in Notes 12 and 18 in the consolidated financial statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Through the normal course of its business the Company is exposed to financial and market risks that have the potential to affect its operating results. In order to manage these risks, the Company operates under risk management policies and guidelines which govern the hedging of price and market risk in the foreign exchange, interest rate, and commodity markets, and funding and investing activities.

The Company engages in hedging to manage price and market risk associated with core operating exposures, and does not engage in significant trading activity of a speculative nature.

The Company's Risk Management Committee meets frequently to discuss current market conditions, and review current hedging programs and trading activity, and to approve any new hedging or trading strategies.

In order to limit the impact of market price fluctuations on operating results, core hedging programs are designated as hedging relationships and managed as part of the Company's hedge accounting portfolio.

Management's Discussion and Analysis

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt or internal cash flows.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment-grade credit pricing and terms.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily net debt to earnings before interest, tax, depreciation and amortization ("EBITDA") and EBITDA to interest expense.

In addition to senior debt and equity, the Company uses operating leases and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2011, total equity increased by $24.6 million to $663.6 million. During the same period, total cash and cash equivalents net of debt decreased by $20.7 million from an asset position of $72.7 million to $52.0 million.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectability of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2011 approximately $0.6 million (2010: $0.4 million) of the Company's accounts receivable were greater than 60 days past due, primarily due to timing issues related to a process change. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individual exposures and a provision based on historical trends of collections. As at December 31, 2011, the Company has recorded an allowance for doubtful accounts of $1.9 million (2010: $2.1 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 41.0% (2010: 35.7%) of consolidated pre-securitized accounts receivable at December 31, 2011 and the two largest customers comprise approximately 30.8% (2010: 30.2%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Management's Discussion and Analysis

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at December 31, 2011, the Company had available undrawn committed credit of $247.6 million under the terms of its principal credit facility with Maple Leaf Foods.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company uses interest rate swaps, from time to time, to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed-rate borrowings.

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, $5.9 million ($4.0 million after-tax) of unrealized derivative losses in accumulated other comprehensive loss was released to profit and loss.

As at December 31, 2011, 96.7% (2010: 97.2%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates. The Company enters into currency derivative agreements to manage its current and anticipated exposures in the foreign exchange markets.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars. The primary currency that the Company is exposed to is the U.S. dollar through the purchase of wheat and through its U.S. operations.

The Company uses foreign exchange contracts to manage foreign exchange exposures. Qualifying derivative contracts in U.S. dollars are designated as hedges within the Company's hedge accounting portfolio, and are accounted for as cash flow hedges.

Commodity Price Risk

The Company is directly exposed to price fluctuations in commodities such as wheat, other agricultural products and fuel. In order to minimize the impact of these price fluctuations on the Company's operating results, the Company may use fixed price contracts with suppliers, exchange-traded futures and options, and over the counter derivatives products.

The Company applies the normal purchases classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

For a comprehensive discussion on the Company's risk management practices and derivative exposures, refer to the Financial Instruments Note 14 in the consolidated financial statements.

Management's Discussion and Analysis

SHARE CAPITAL AND DIVIDENDS

In 2011, the Company declared and paid cash dividends of $0.66 per qualifying common share (2010: $0.24), representing aggregate dividend payments of $16.8 million in 2011 (2010: $6.1 million).

As of December 31, 2011, there were 25,416,812 common shares of the Company issued and outstanding.

OTHER MATTERS

On February 27, 2012, Canada Bread declared a dividend of $0.20 per share payable on April 2, 2012 to shareholders of record at the close of business on March 12, 2012. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

EMPLOYEE BENEFIT PLANS

The cost of pensions and other post-retirement benefits earned by employees is actuarially determined using the projected unit credit method calculated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected heath care costs. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. These estimates are determined at the beginning of the year and re-evaluated if changes in estimates and market conditions indicate that there may be a significant effect on the Company's financial statements.

During 2011, due to a decrease in both discount rates and actual asset return rates, employee benefit liabilities reflected on the Company's balance sheet were re-valued. This resulted in an increase in employee benefit liabilities of $19.5 million (2010: $12.1 million). The effect of this adjustment was recorded by a $19.5 million, $14.4 million after-tax, decrease in other comprehensive income (2010: $12.1 million, $8.8 million after-tax). The adjustment further resulted in a reduction in deferred tax liability of $5.1 million (2010: $3.3 million) and a $14.4 million decrease in retained earnings (2010: $8.8 million).

Management considers that these adjustments, that were required to be made immediately under IFRS, as opposed to deferred and amortized under previous Canadian GAAP, were the result of significant market volatility that affected the valuation of plan assets and liabilities, and do not represent a permanent change in the long-term funded status of the Company's pension plans.

The Company operates both defined contribution and defined benefit plans. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities that are subject to fluctuations in market prices. Discount rates used to measure plan liabilities are based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements.

The Company's contributions are funded through cash flows generated from operations. Management anticipates that future cash flows from operations will be sufficient to fund expected future contributions. Contributions to defined benefit plans during 2011 were $8.3 million (2010: $6.2 million).

The Company plans to contribute $16.1 million to the pension plans in 2012, inclusive of defined contribution plans and the multi-employer plans.

Management's Discussion and Analysis

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First quarter	Second quarter	Third quarter	Fourth quarter	Full year
Sales[(i)]	**2011**	**$ 371,760**	**$ 406,245**	**$ 417,171**	**$ 400,280**	**$ 1,595,456**
	2010	381,932	402,062	411,364	393,079	1,588,437
	2009	413,125	435,918	424,555	432,190	1,705,788
Net earnings (loss)[(i)]	**2011**	**$ (966)**	**$ 14,904**	**$ 30,256**	**$ 7,757**	**$ 51,951**
	2010	12,969	20,949	14,313	13,841	62,072
	2009	14,882	22,537	25,050	15,009	77,478
Earnings (loss) per share						
Basic and diluted[(i), (ii)]	**2011**	**$ (0.04)**	**$ 0.59**	**$ 1.19**	**$ 0.31**	**$ 2.04**
	2010	0.51	0.82	0.56	0.54	2.44
	2009	0.59	0.89	0.99	0.59	3.05
Adjusted EPS[(i), (ii), (iii)]	**2011**	**$ 0.56**	**$ 0.97**	**$ 1.24**	**$ 0.67**	**$ 3.43**
	2010	0.56	0.85	0.87	0.62	2.90
	2009	0.60	0.89	1.00	0.70	3.20

(i) The 2011 and 2010 figures are in accordance with IFRS and the net earnings, earnings per share and adjusted earnings per share are based on amounts attributable to common shareholders. The remaining figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

(ii) May not add due to rounding.

(iii) Please refer to Non-IFRS Financial Measures starting on page 30.

Quarterly sales in 2011 were affected by the following significant items:

- price increases implemented to offset higher input costs
- the sale of the fresh sandwich product line at the beginning of 2011
- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- lower sales volumes in the fresh bakery business and frozen bakery operations in the U.S.

Quarterly net earnings in 2011 were affected by the following significant items:

- timing of price increases implemented in 2011 relative to the rise of input costs
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar, which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- benefits from strategic and other cost reduction initiatives, including personnel reduction, network and product simplification, and the closure of a frozen bakery plant in Quebec
- duplicative overhead costs related to the new fresh bakery in Hamilton, Ontario
- supply chain disruptions related to the installation of SAP in the fresh bakery Western Canada operations in the fourth quarter
- restructuring and other related costs

Management's Discussion and Analysis

- income tax adjustments of $2.4 million in the first quarter and $9.8 million in the third quarter arising from a prior acquisition in its fresh bakery business, which resulted in a lower tax rate on operating earnings in the first and third quarters of 2011

Quarterly sales in 2010 were affected by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- lower volumes, primarily frozen bakery products in the U.S. and U.K.

Quarterly net earnings in 2010 were affected by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar, which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- increased spending to maintain market share in a competitive Canadian retail environment

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

SUMMARY OF 2011 FOURTH QUARTER RESULTS

The following is a summary of sales by business segment:

	Fourth Quarter			
($ thousands)		**2011**		2010
Fresh Bakery	**$**	**261,963**	$	261,876
Frozen Bakery	**$**	**138,317**	$	131,203
Sales	**$**	**400,280**	$	393,079

The following is a summary of Adjusted Operating Earnings by business segment:

	Fourth Quarter			
($ thousands)		**2011**		2010
Fresh Bakery	**$**	**19,463**	$	20,864
Frozen Bakery	**$**	**6,738**	$	6,566
Adjusted Operating Earnings[(i)]	**$**	**26,201**	$	27,430

(i) Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures in the press release dated February 28, 2012 concerning the Company's financial results for the fourth quarter of 2011 for a description and reconciliation.

Sales for the fourth quarter of 2011 increased 1.8% to $400.3 million compared to $393.1 million last year. After adjusting for the sale of the Company's fresh sandwich product line in February 2011 and currency translation on sales in the U.S. and U.K., sales increased 4.0%, primarily due to price increases implemented earlier in 2011. This increase was slightly offset by a change in sales mix and lower sales volumes.

Adjusted Operating Earnings for the fourth quarter of 2011 were $26.2 million compared to $27.4 million in the prior year. Price increases implemented earlier in 2011 were not sufficient to fully offset higher raw material costs and overall inflation in the Frozen Bakery business. Earnings were also impacted by duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario, and some impacts due to supply chain disruptions related to the SAP implementation in the fresh bakery operations in Western Canada. These additional costs were partly offset by efficiency gains from network optimization initiatives in the Frozen Bakery operations and overall lower selling, general and administrative expenses due to cost reduction initiatives implemented earlier in 2011.

Management's Discussion and Analysis

Net earnings decreased to $7.8 million or $0.31 basic earnings per share in the fourth quarter of 2011 compared to net earnings of $13.8 million or $0.54 basic earnings per share last year. Restructuring costs in the quarter were $12.2 million (2010: $2.5 million) and related mostly to the consolidation of production in the U.K. operations.

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that Management believes must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers, to reduce packaging and track greenhouse gas emissions and the mileage it takes to produce and deliver food products. Increasingly, sound environmental practices are becoming a key component of maintaining a competitive advantage.

As part of its sustainability initiatives, the Company is in the final verification stages for LEED® certification at its new bakery in Hamilton, Ontario, which opened in 2011. LEED® stands for Leadership in Energy and Environmental Design and is widely recognized as a green building standard.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Systems Conversion and Standardization

The Company regularly implements process improvement initiatives to simplify and harmonize its systems and processes to optimize performance and reduce the risk of errors in financial reporting. The Company is currently undertaking an initiative to replace its information systems with SAP, an integrated ERP system. During the year, the Company completed the successful installation of the system in some business units. The transformation of these business systems and installation into all business units is expected to be substantially complete in 2012. The Company has dedicated considerable resources to the implementation of SAP and carefully designed an implementation plan to reduce operational disruptions. However, there can be no guarantee that the implementation will not disrupt the Company's operations or be completed within the identified period of time and budget. In addition, there cannot be any guarantee that the implementation will improve current processes or operating results or reduce the risk of errors in financial reporting. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

Management's Discussion and Analysis

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have and has had a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices or, where possible or necessary, reducing costs. However, these strategies may not always be successful. The Company's U.K. operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other. Accordingly, these exchange rate fluctuations could have a material adverse effect on the Company's financial condition and results of operations.

Commodities

The Company is a purchaser of certain commodities, such as wheat and energy (fuel, natural gas and electricity), in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk and may in some circumstances subject the Company to loss. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the prices it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Capital Expansion Projects

In 2010, the Company commenced the construction of a large-scale facility designed to replace a number of smaller and older facilities. While construction is substantially complete, not all of the plants it is to replace have been closed and production has not been transferred to the new plant in such instances. The construction and start-up of a new plant and the closure of and transfer of production from existing plants presents a number of risks including: errors in the assessment of labour rates and other operating costs, failure to achieve operating cost efficiencies, cost overruns in construction, delays in completion of the project, disruptions to service levels during the construction period, loss of reputation with customers, and adverse impacts on the quality of the Company's products. As a result of the construction of this facility, the Company's operations will be more concentrated in a fewer number of facilities, resulting in the risk that any unforeseen disruption in such facilities could have a greater effect on the operations of the Company as a whole. In addition, as part of the plan, the Company has announced the closure of some existing plants. The closure of existing plants carries risks such as inaccurate assessments of the costs of decommissioning, disruptions in service during closure, and errors in the estimates of residual value of the assets. Altogether, these risks could result in a material adverse impact to the Company's financial condition and results of operations.

Management's Discussion and Analysis

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall.

The Company's products are susceptible to contamination by disease-producing organisms or pathogens. Because these pathogens are generally found in the environment, there is a risk that they, as a result of food processing, could be present in the Company's products. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance. However, the Company cannot assure that such systems, even when working effectively, will eliminate the risks related to food safety. The Company could be required to recall certain of its products in the event of contamination, adverse test results or as precautionary measures. There is also a risk that not all of the product subject to the recall will be properly identified, that the recall will not be successful or not effected in a timely manner. Any product contamination could subject the Company to product liability claims, adverse publicity and government scrutiny, investigation or intervention, resulting in increased costs and decreased sales. Any of these events could have a material adverse impact on the Company's operations and financial results.

Business Acquisitions

While the Company's focus has been the integration of existing operations and supply chain optimization, the Company may continue to review opportunities for strategic growth through acquisitions in the future. These acquisitions may involve large transactions or realignment of existing investments and present financial, managerial and operational challenges, which if not successfully overcome may reduce the Company's profitability. These risks include the diversion of Management attention from existing core businesses, difficulties integrating or separating personnel and financial and other systems, adverse effects on existing business relationships with suppliers and customers, inaccurate estimates of the rate of return of acquisitions or investments, inaccurate estimates of fair value made in the accounting for acquisitions and amortization of acquired intangible assets, which would reduce future reported earnings, potential loss of customers or key employees of acquired businesses and indemnities and potential disputes with the buyers or sellers. Any of these items could materially affect the Company's product sales, financial condition and results of operations.

Regulation

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations, has all necessary permits and licenses, and will be able to comply with such laws and regulations, permits and licenses in the future. Failure by the Company to comply with applicable laws and regulations and permits and licenses could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company's financial condition and results of operations. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues in food ingredients, food safety, and market and environmental regulation that, if adopted, may increase the Company's costs. There can be no assurance that additional regulation will not be enacted. If any of these or other proposals are enacted, the Company could experience a disruption in the supply or distribution of its products, increased operating costs and significant additional costs for capital improvements. The Company may be unable to pass on the cost increases associated with such increased regulatory burden to its customers without incurring volume loss as a result of higher prices. Any of these events could have a material adverse effect on the Company's financial condition and results of operations.

Management's Discussion and Analysis

Legal Matters

In the normal course of its operations, the Company becomes involved in various legal actions relating to its commercial relationships, employment matters and product liabilities, among other things. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends and produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify or react to these changes or to innovate could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages and negative publicity for the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites, or to other matters or sites, will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of waste which is or may be considered to be hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

Employment Matters

The Company and its subsidiaries have approximately 6,000 full- and part-time employees, which includes salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each such jurisdiction having differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations. The Company's success is also dependent on its ability to recruit and retain qualified personnel. The loss of one or more key personnel could have a material adverse effect on the Company's financial condition and results of operations.

Management's Discussion and Analysis

Pension Plan Assets and Liabilities

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The funded status of the plans significantly affects the net periodic benefit costs of the Company's pension plans and the ongoing funding requirements of those plans. Among other factors, changes in interest rates, mortality rates, early retirement rates, investment returns and the market value of plan assets can affect the level of plan funding, increase the Company's future funding requirements and cause volatility in the net periodic pension cost and the Company's financial results. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

Direct Store Delivery Disruptions

A significant portion of the Company's Fresh Bakery products are distributed through direct store delivery systems using independent distributors. Although appropriate contractual arrangements are in place with these distributors and the Company attempts to maintain good relations with its distributors, a negative change in the Company's relations with them, changes in regulations or an adverse ruling by regulatory agencies regarding the Company's independent distributorship program or claims against the Company for the actions of the independent distributors could materially affect the Company's results of operations and financial condition.

Competitive Industry Environment

The food industry is intensely competitive and in many product categories in which the Company operates there are low barriers to entry. Competition is based on product availability, product quality, price, effective promotions and the ability to target changing consumer preferences. The Company experiences price pressure from time to time as a result of a competitor's promotional efforts and in product categories and markets characterized by low capacity utilization. Increased competition could result in reduced sales, margins, profits and market share, all of which could have a material adverse impact on the Company's financial condition and results of operations.

Product Pricing

The Company's profitability is dependent in large part on the Company's ability to make pricing decisions regarding its products that on one hand encourage consumers to buy yet on the other hand recoup development and other costs associated with that product. Products that are priced too high will not sell and products priced too low will lower the Company's profit margins. Accordingly, any failure by the Company to properly price its products could have a material adverse effect on the Company's financial condition and results of operations.

Supply Chain Management

Successful management of the Company's supply chain is critical to the Company's success. Insufficient supply of products threatens the Company's ability to meet customer demands while over capacity threatens the Company's ability to generate competitive profit margins. Accordingly, any failure by the Company to properly manage the Company's supply chain could have a material adverse effect on the Company's financial condition and results of operations.

Strategic Risk Management

Successful identification and management of the strategic risks facing the Company from time to time is critical to the Company's success. Failure to properly adapt to changes in strategic risks (such as changes in technology, the food industry, customers, consumers and competitors, among other things) could have a material adverse effect on the Company's financial condition and results of operations.

Management's Discussion and Analysis

CRITICAL ACCOUNTING ESTIMATES

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are discussed below:

Goodwill and Intangible Assets Valuation

The values associated with other intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

The Company assesses impairment by comparing the recoverable amount of an intangible asset or goodwill with its carrying value. The recoverable amount is defined as the higher of value in use, or fair value less cost to sell. The determination of the recoverable amount involves Management judgement and estimation.

Allowance for Bad Debts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including changes in individual customer financial conditions. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and net earnings will be affected.

Provisions for Inventory

Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are lower, thus reducing the risk of material misstatement. Management ensures that systems are in place to highlight and properly value inventory that may be approaching best before code, or "best before" dates. To the extent that actual losses on inventory differ from those estimated, both inventory and net earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and net earnings will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan

Management's Discussion and Analysis

liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses.

Significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and benefit plan expenses are as follows:

	2011	2010
Weighted average discount rate used to calculate net benefit plan expense	**5.00%**	5.75%
Weighted average discount rate used to calculate year-end benefit obligation	**4.50%**	5.00%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**6.50%**	7.00%

A 1% change in health care cost trend would not have a significant impact on the year-end obligation or the 2011 current service and interest costs.

($ thousands)	**1% increase**	**1% decrease**
Effect on end-of-year obligation	**$ 72**	**$ (63)**
Aggregate of 2011 current service cost and interest cost	**3**	**(3)**

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgement is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required. In certain circumstances, Management may determine that certain provisions are insufficient as new events occur or as additional information is obtained. Provisions are separately identified and disclosed in the Company's consolidated financial statements.

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect both the carrying value of these assets and net earnings.

Management's Discussion and Analysis

RECENT ACCOUNTING PRONOUNCEMENTS

Financial Instruments – Recognition and Measurement

In October 2010, the International Accounting Standards Board ("IASB") published amendments to IFRS 9 (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Instruments – Disclosures

In October 2010, the IASB issued amendments to IFRS 7*Disclosures Transfers of Financial Assets.* This amendment requires disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. This amendment is effective for annual periods beginning on or after January 1, 2012 and therefore the Company will apply the amendment in the first quarter of 2012. When applied, it is expected that the amendment to IFRS 7 will increase the current level of disclosure of transfers of financial assets.

Financial Assets and Liabilities

In December 2011 the IASB published amendments to IAS 32 *Offsetting Financial Assets and Financial Liabilities* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The effective date for the amendments to IFRS 7 is annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated Separate Financial Statements* that addresses consolidation, and supersedes SIC-12, *Consolidation - Special Purpose Entities ("SPE"),* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities - Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures*, has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Management's Discussion and Analysis

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adopting IFRS 10, IFRS 11, amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 has not yet been determined.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of Other Comprehensive Income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendments also require other additional disclosures. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. Where required, the Company will apply this amendment retrospectively. The extent of the impact of adoption of the amendments has not yet been determined.

Management's Discussion and Analysis

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation.

The Company's Management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS.

The Company's Chief Executive Officer and Chief Financial Officer, have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2011 and have concluded that such controls and procedures are effective.

In addition, there have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2011 and ended on December 31, 2011 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

INTERNATIONAL FINANCIAL REPORTING STANDARDS

These are the first audited annual consolidated financial statements that comply with IFRS. The accounting policies set out in Note 3 of the consolidated financial statements have been applied in preparing the consolidated financial statements for the year ended December 31, 2011, the comparative information presented in these consolidated financial statements for the year ended December 31, 2010, and in the preparation of the opening consolidated balance sheets at January 1, 2010.

First-time adopters of IFRS must apply the provisions of IFRS 1. IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the reporting date (December 31, 2011) with certain optional exemptions and certain mandatory exceptions. The IFRS 1 optional exemptions and mandatory exceptions applied in the conversion from previous Canadian GAAP to IFRS are outlined below.

An explanation of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance, and cash flows, is set out in the following reconciliations and the explanatory notes that accompany the reconciliations. Reconciliations of the consolidated statements of earnings, comprehensive income and shareholders' equity for the respective periods are below. Changes to the cash flows were not material as a result of the conversion to IFRS.

IFRS 1 Optional Exemptions

Business Combinations

IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to the transition date in accordance with IFRS 3 *Business Combinations*. The retrospective basis would require restatement of all business combinations that occurred prior to the transition date. The Company elected not to retrospectively apply IFRS 3 to business combinations that occurred prior to the transition date and such business combinations have not been restated. Any goodwill arising on such business combinations prior to the transition date has not been adjusted from the carrying value previously determined under Canadian GAAP.

Fair Value as Deemed Cost

IFRS 1 allows an entity to elect to measure property and equipment at fair value in the opening IFRS statement of financial position. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in IAS 16 *Property, Plant and Equipment*, to arrive at the carrying value of property and equipment at the transition date. The Company elected to retrospectively apply the historical cost model for property and equipment on the transition date, resulting in no IFRS impact to shareholders' equity.

Management's Discussion and Analysis

Employee Benefits

IFRS 1 provides the option to retrospectively apply the corridor approach under IAS 19 *Employee Benefits*, for the recognition of actuarial gains and losses, or recognize all cumulative gains and losses deferred under previous Canadian GAAP in opening retained earnings at the transition date. The Company elected to recognize all cumulative actuarial gains and losses that existed on the transition date in opening retained earnings for all of its employee benefit plans.

Cumulative Currency Translation Differences

Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21 *The Effects of Changes in Foreign Exchange Rates*, from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation differences retrospectively and to reset cumulative translation gains and losses to zero at the transition date. The Company elected to reset all cumulative translation gains and losses that existed in the cumulative translation adjustment ("CTA") to zero in opening retained earnings at the transition date. The CTA balance as of January 1, 2010 of $48.8 million was recorded as an adjustment to retained earnings, with an offset to accumulated other comprehensive income resulting in no impact on total shareholders' equity.

Decommissioning Liabilities Included in the Cost of Property, Plant and Equipment

IFRS 1 allows an entity to elect not to retrospectively apply the requirements of International Financial Reporting Interpretation Commission ("IFRIC") 1 *Changes in Existing Decommissioning, Restoration and Similar Liabilities* The Company elected not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the transition date.

Borrowing Costs

IAS 23 *Borrowing Costs* requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as either the transition date or an earlier date. The Company elected to apply the transitional provisions of IAS 23 and chose the transition date as the date to commence the capitalization of borrowing costs to all qualifying assets.

IFRS 1 Mandatory Exceptions

Hedge Accounting

Hedge accounting may only be applied prospectively from the transition date to transactions that meet the hedge accounting criteria in IAS 39 *Financial Instruments – Recognition and Measurement*, at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively. The Company designated all hedges appropriately under IFRS as of the transition date.

Estimates

Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

Reconciliations of Canadian GAAP to IFRS

In preparing its opening IFRS consolidated financial statements, the Company has adjusted amounts reported previously in financial statements prepared in accordance with Canadian GAAP. A summary of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance is set out below. For further detail on the transitional adjustments from Canadian GAAP to IFRS see Note 22 in the consolidated financial statements for the year ended December 31, 2011.

Management's Discussion and Analysis

Reconciliation of Shareholders' Equity as Reported under Canadian GAAP to Total Equity under IFRS

The following is a reconciliation of the Company's shareholders' equity reported in accordance with Canadian GAAP to its total equity in accordance with IFRS:

($ thousands)	December 31, 2010	January 1, 2010
Shareholders' equity under Canadian GAAP	$ 785,846	$ 747,087
Differences increasing (decreasing) reported shareholders' equity:		
Property and equipment	(5,577)	(5,454)
Impairment of goodwill	(111,618)	(119,078)
Employee benefits	(39,210)	(31,558)
Capitalization of borrowing costs	417	–
Deferred income taxes	9,137	9,303
Shareholders' equity under IFRS	**$ 638,995**	**$ 600,300**

Reconciliation of net earnings as reported under Canadian GAAP to IFRS

Year ended December 31 *($ thousands)*	2010
Net earnings under Canadian GAAP	$ 60,975
Differences increasing (decreasing) reported net earnings:	
Depreciation of asset components	(83)
Leasehold improvements	(234)
Capitalization of borrowing costs	417
Employee benefits	1,382
Income taxes	(385)
Net earnings under IFRS	**$ 62,072**

Reconciliation of comprehensive income as reported under Canadian GAAP to IFRS

Year ended December 31 *($ thousands)*	2010
Comprehensive income under Canadian GAAP	$ 44,859
Differences increasing reported amount:	
Differences in net earnings	1,097
Leasehold improvements	194
Impairment of goodwill	7,460
Employee benefits	(8,815)
Comprehensive income under IFRS	**$ 44,795**

Management's Discussion and Analysis

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings, Adjusted EPS, Net Debt and Return on Net Assets ("RONA"). Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the consolidated statements of earnings for the years ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

	December 31, 2011			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 51,951
Income taxes				10,845
Earnings from operations before income taxes				$ 62,796
Interest expense				1,052
Earnings from operations before interest and income taxes	$ 85,046	$ (21,198)	$ –	$ 63,848
Other (income) expense	(49)	(365)	–	(414)
Restructuring and other related costs	14,860	31,497	–	46,357
Adjusted Operating Earnings	$ 99,857	$ 9,934	$ –	$ 109,791

	December 31, 2010			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 62,072
Income taxes				25,212
Earnings from operations before income taxes				$ 87,284
Interest expense				2,891
Earnings from operations before interest and income taxes	$ 87,639	$ 8,412	$ (5,876)	$ 90,175
Other (income) expense	(57)	–	5,876	5,819
Restructuring and other related costs	12,598	2,950	–	15,548
Adjusted Operating Earnings	$ 100,180	$ 11,362	$ –	$ 111,542

Management's Discussion and Analysis

($ thousands)	December 31, 2009[(i)] Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 77,478
Income taxes				35,506
Earnings from operations before income taxes				$ 112,984
Interest expense				5,084
Earnings from operations before interest and income taxes	$ 88,053	$ 30,015	$ –	$ 118,068
Other (income) expense	109	(2,548)	–	(2,439)
Restructuring and other related costs	3,373	1,535	–	4,908
Adjusted Operating Earnings	$ 91,535	$ 29,002	$ –	$ 120,537

(i) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the consolidated statements of earnings for the years ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

($ per share)	December 31, **2011**	2010	2009[(iii)]
Basic earnings per share	**$ 2.04**	$ 2.44	$ 3.05
Restructuring and other related costs[(i)]	**1.39**	0.46	0.15
Adjusted Earnings per Share [(ii)]	**$ 3.43**	$ 2.90	$ 3.20

(i) Includes per share impact of restructuring and other related costs, net of tax.

(ii) May not add due to rounding.

(iii) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Net Debt (Cash)

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the audited consolidated balance sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

($ thousands)	December 31, **2011**	2010	2009[(i)]
Bank indebtedness	**$ 3,153**	$ 7,777	$ 4,247
Current portion of long-term debt	**2,452**	2,332	–
Long-term debt	**1,634**	1,629	2,547
Sub-total	**$ 7,239**	$ 11,738	$ 6,794
Cash and cash equivalents	**(59,223)**	(84,401)	(57,698)
Net Debt (Cash)	**$ (51,984)**	$ (72,663)	$ (50,904)

(i) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Management's Discussion and Analysis

Return on Net Assets

Return on Net Assets is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis upon which to evaluate long-term financial performance.

Earnings before Interest, Tax Depreciation and Amortization

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative overhead costs incurred due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, expectations regarding the timing and amount of capital investments; expectations regarding the timing and cost of plant closures; the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's shared systems and processes
- the Company's exposure to currency exchange risks
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks posed by food contamination, consumer liability and product recalls

Management's Discussion and Analysis

- the risks related to acquisitions and capital expansion projects
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" presented previously in this document. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2011 sales of $1.6 billion and employs approximately 6,000 people at its operations across North America and in the United Kingdom.

Independent Auditors' Report

To the Shareholders of Canada Bread Company, Limited:

We have audited the accompanying consolidated financial statements of Canada Bread Company, Limited, which comprise the consolidated balance sheets as at December 31, 2011, December 31, 2010 and January 1, 2010, the consolidated statements of earnings, comprehensive income, changes in shareholders' equity and cash flows for the years ended December 31, 2011 and December 31, 2010, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained in our audits is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Canada Bread Company, Limited, as at December 31, 2011, December 31, 2010 and January 1, 2010, and its consolidated financial performance and its consolidated cash flows for the years ended December 31, 2011 and December 31, 2010 in accordance with International Financial Reporting Standards.

KPMG LLP

Chartered Accountants, Licensed Public Accountants

Toronto, Canada

February 27, 2012

Consolidated Balance Sheets

(In thousands of Canadian dollars)	As at December 31, 2011	As at December 31, 2010 (See Note 22)	As at January 1, 2010 (See Note 22)
ASSETS			
Current assets			
Cash and cash equivalents	$ 59,223	$ 84,401	$ 57,698
Accounts receivable (Note 4)	56,522	48,264	130,807
Notes receivable (Note 4)	45,847	37,639	–
Inventories (Note 5)	60,048	55,477	56,659
Income and other taxes recoverable	2,162	–	–
Prepaid expenses and other assets	5,218	4,516	4,438
	$ 229,020	$ 230,297	$ 249,602
Property and equipment (Note 6)	425,944	387,603	383,024
Investment property (Note 7)	8,415	3,743	3,959
Other long-term assets	4,456	3,857	3,203
Deferred tax asset (Note 17)	17,917	9,543	5,887
Goodwill (Note 9)	266,013	264,276	267,729
Intangible assets (Note 10)	12,710	13,626	16,678
Total assets	$ 964,475	$ 912,945	$ 930,082
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness (Note 12)	$ 3,153	$ 7,777	$ 4,247
Accounts payable and accruals	185,811	171,742	238,071
Provisions (Note 11)	23,066	13,068	3,919
Due to Maple Leaf Foods Inc. (Note 19)	2,451	5,336	3,817
Dividends payable	5,083	1,525	1,525
Income and other taxes payable	–	3,248	13,155
Current portion of long-term debt (Note 12)	2,452	2,332	–
	$ 222,016	$ 205,028	$ 264,734
Long-term debt (Note 12)	1,634	1,629	2,547
Deferred tax liability (Note 17)	21,784	24,408	28,283
Employee benefits (Note 8)	50,434	36,645	27,421
Provisions (Note 11)	5,005	6,240	6,797
Total liabilities	$ 300,873	$ 273,950	$ 329,782
Shareholders' equity			
Share capital (Note 13)	$ 142,965	$ 142,965	$ 142,965
Retained earnings	530,852	510,126	462,969
Accumulated other comprehensive loss (Note 13)	(10,215)	(14,096)	(5,634)
Total shareholders' equity	$ 663,602	$ 638,995	$ 600,300
Total liabilities and shareholders' equity	$ 964,475	$ 912,945	$ 930,082

Contingencies and commitments (Note 18)
See accompanying Notes to the Consolidated Financial Statements
On behalf of the Board:



RICHARD A. LAN
Director



WILLIAM E. AZIZ
Director

Consolidated Statements of Earnings

Years ended December 31 *(In thousands of Canadian dollars, except share amounts)*		**2011**		2010
Sales	**$**	**1,595,456**	$	1,588,437
Cost of goods sold		**1,284,432**		1,255,218
Gross margin	**$**	**311,024**	$	333,219
Selling, general and administrative expenses		**201,233**		221,677
Earnings before the following:	**$**	**109,791**	$	111,542
Restructuring and other related costs (Note 11)		**(46,357)**		(15,548)
Other income (expense) (Note 15)		**414**		(5,819)
Earnings before interest and income taxes	**$**	**63,848**	$	90,175
Interest expense (Note 16)		**1,052**		2,891
Earnings before income taxes	**$**	**62,796**	$	87,284
Income taxes (Note 17)		**10,845**		25,212
Net earnings	**$**	**51,951**	$	62,072
Earnings per share attributable to common shareholders				
Basic and diluted earnings per share	**$**	**2.04**	$	2.44
Weighted average number of shares (millions)		**25.4**		25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income

Years ended December 31 *(In thousands of Canadian dollars)*		**2011**		2010
Net earnings	**$**	**51,951**	$	62,072
Other comprehensive income (loss)				
Change in accumulated foreign currency translation adjustment		**3,307**		(14,050)
Change in unrealized gains and losses on cash flow hedges		**574**		5,588
Change in actuarial gains and losses		**(14,448)**		(8,815)
	$	**(10,567)**	$	(17,277)
Comprehensive income	**$**	**41,384**	$	44,795

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars)	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at January 1, 2011	**$ 142,965**	**$ 510,126**	**$ (14,096)**	**$ 638,995**
Net earnings	–	**51,951**	–	**51,951**
Other comprehensive income (loss)	–	**(14,448)**	**3,881**	**(10,567)**
Dividends declared ($0.66 per share)	–	**(16,777)**	–	**(16,777)**
Balance at December 31, 2011	**$ 142,965**	**$ 530,852**	**$ (10,215)**	**$ 663,602**

(In thousands of Canadian dollars)	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at January 1, 2010	$ 142,965	$ 462,969	$ (5,634)	$ 600,300
Net earnings	–	62,072	–	62,072
Other comprehensive loss	–	(8,815)	(8,462)	(17,277)
Dividends declared ($0.24 per share)	–	(6,100)	–	(6,100)
Balance at December 31, 2010	$ 142,965	$ 510,126	$ (14,096)	$ 638,995

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31 *(In thousands of Canadian dollars)*		**2011**		2010
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$**	**51,951**	$	62,072
Add (deduct) items not affecting cash:				
Depreciation and amortization		**47,839**		50,476
Deferred income taxes		**(6,295)**		(5,249)
Income tax current		**17,140**		30,461
Interest expense		**1,052**		2,891
Loss on sale of property and equipment		**232**		126
Change in provision for restructuring and other related costs		**32,232**		11,561
Net income taxes paid		**(20,203)**		(39,944)
Interest paid		**(750)**		(776)
Other		**(1,817)**		4,886
Change in non-cash operating working capital		**(18,287)**		(25,602)
Cash provided by operating activities	**$**	**103,094**	$	90,902
Financing activities				
Dividends paid	**$**	**(16,777)**	$	(6,100)
Net increase in long-term debt		**–**		2,000
Cash used in financing activities	**$**	**(16,777)**	$	(4,100)
Investing activities				
Additions to long-term assets	**$**	**(112,517)**	$	(66,595)
Capitalization of interest expense to long-term assets		**(119)**		(418)
Proceeds from sale of long-term assets		**5,830**		3,114
Change in intangible assets		**(65)**		254
Other		**–**		16
Cash used in investing activities	**$**	**(106,871)**	$	(63,629)
Increase (decrease) in cash and cash equivalents	**$**	**(20,554)**	$	23,173
Net cash and cash equivalents, beginning of period		**76,624**		53,451
Net cash and cash equivalents, end of period	**$**	**56,070**	$	76,624
Net cash and cash equivalents is comprised of:				
Cash and cash equivalents	**$**	**59,223**	$	84,401
Bank indebtedness		**(3,153)**		(7,777)
Net cash and cash equivalents, end of period	**$**	**56,070**	$	76,624

See accompanying Notes to the Consolidated Financial Statements

Notes to the Consolidated Financial Statements

Years ended December 31, 2011 and 2010
(Tabular amounts in thousands of Canadian dollars, unless otherwise indicated)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The consolidated financial statements of the Company as at and for the year ended December 31, 2011 include the accounts of the Company and its subsidiaries. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. BASIS OF PREPARATION

(a) Statement of Compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described there in. These are the Company's first annual consolidated financial statements prepared in accordance with IFRS and therefore the Company has applied IFRS 1 *First-time adoption of International Financial Reporting Standards.* An explanation of how the transition from Canadian Generally Accepted Accounting Principles ("GAAP") to IFRS as at January 1, 2010 ("transition date") has affected the reported financial position, financial performance and cash flows of the Company, including the mandatory exceptions and optional exemptions under IFRS 1 is provided in Note 22 of these financial statements.

The consolidated financial statements were authorized for issue by the Board of Directors on February 27, 2012.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and defined benefit plan assets and liabilities that are stated at fair value.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgements

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included in the following notes:

Goodwill and Intangible Assets Valuation

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

The Company assesses impairment by comparing the recoverable amount of an intangible asset or goodwill with its carrying value. The recoverable amount is defined as the higher of: (i) value in use; or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgement and estimation.

Notes to the Consolidated Financial Statements

Allowance for Bad Debts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including changes in individual customer financial conditions. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and net earnings will be affected.

Provisions for Inventory

Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code, or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, both inventory and net earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and net earnings will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgement is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements.

Notes to the Consolidated Financial Statements

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect both the carrying value of these assets and net earnings.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and in preparing the opening IFRS consolidated balance sheet at January 1, 2010 for the purposes of the transition to IFRS, unless otherwise indicated.

(a) Principles of Consolidation

These consolidated financial statements include the accounts of the Company and its subsidiaries from the date that control commences until the date that control ceases. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

All intercompany accounts and transactions have been eliminated on consolidation.

(b) Translation of Foreign Currencies

The accounts of the Company are presented in Canadian dollars. Transactions in foreign currencies are translated at the actual rates of exchange. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the Canadian dollar at the exchange rate at that date. Foreign exchange differences arising on translation are recognized in net earnings except for financial assets and liabilities designated as hedges of the net investment in foreign operations or qualifying cash flow hedges, which are recognized in other comprehensive income. Non-monetary assets and liabilities that are measured at historical cost are translated using the exchange rate at the date of the transaction.

The financial statements of foreign subsidiaries whose functional currency is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the period-end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Foreign exchange differences arising on translation are recognized in accumulated other comprehensive income in shareholders' equity.

When a foreign operation is disposed of, the relevant amount in the cumulative foreign currency translation differences is transferred to profit or loss as part of the profit or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant portion of the cumulative foreign currency translation differences is re-attributed to non-controlling interest. In any other partial disposal of a foreign operation, the relevant portion is reclassified to profit or loss.

Foreign exchange gains and losses arising from a receivable or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operations, are recognized in other comprehensive income in the accumulated foreign currency translation differences.

(c) Financial Instruments

The Company's financial assets and financial liabilities upon initial recognition are measured at fair value and are classified as held-for-trading, loans and receivables, or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held-for-trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held-for-trading financial instruments are measured at fair value with changes in fair value recognized in consolidated statements of earnings in the period in which such changes arise. Loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

Notes to the Consolidated Financial Statements

Financial assets are assessed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset, with impairment losses recognized in the consolidated statements of earnings. If in a subsequent period, the impairment loss decreases, the previously recognized impairment is reversed to the extent of the impairment.

Transaction costs, other than those related to financial instruments classified as fair value through profit or loss, which are expensed as incurred, are capitalized to the carrying amount of the instrument and amortized using the effective interest method.

(d) Hedge Accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income until the hedged item affects net earnings. The Company uses cash flow hedges to mitigate the risk from variable cash flows associated with forecasted foreign currency denominated cash flows and forecasted purchases and sales of various commodities.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statements of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent effective, directly in other comprehensive income. These amounts are recognized in earnings when the corresponding accumulated other comprehensive income (loss) from self-sustaining foreign operations is recognized in earnings.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statements of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in net earnings as the hedged item affects net earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through net earnings without any offset from the hedged item.

Derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheets, and subsequent changes in their fair value are recorded in the consolidated statements of earnings.

(e) Cash and Cash Equivalents

Cash and cash equivalents comprise cash balances, demand deposits and investments with an original maturity at the date of purchase of three months or less.

Notes to the Consolidated Financial Statements

(f) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. The cost of inventory includes direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation. When circumstances that previously caused inventories to be written down below cost no longer exist or when there is clear evidence of an increase in the net realizable value, the amount of a write down previously recorded is reversed through cost of goods sold.

(g) Impairment or Disposal of Long-lived Assets

The Company reviews long-lived assets or asset groups held and used including property and equipment and intangible assets subject to amortization, for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Asset groups referred to as Cash Generating Units ("CGUs") include an allocation of Corporate assets and are reviewed at their lowest level for which identifiable cash inflows are largely independent of cash inflows of other assets or groups of assets. The recoverable amount is the greater of its value in use and its fair value less cost to sell.

Value in use is based on estimates of discounted future cash flows expected to be recovered from a CGU through its use. Management develops its cash flow projections based on past performance and its expectations of future market and business developments. Once calculated, the estimated future pre-tax cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Fair value less cost to sell is the amount obtainable from the sale of an asset or CGU in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal. Costs of disposal are incremental costs directly attributable to the disposal of an asset or CGU, excluding finance costs and income tax expense.

An impairment loss is recognized in the consolidated statements of earnings when the carrying amount of any asset or its CGU exceeds its estimated recoverable amount. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU and then to reduce the carrying amount of the other assets in the CGU on a pro rata basis.

Impairment losses related to long-lived assets recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation and amortization, if no previous impairment loss had been recognized.

Long-lived assets are classified as held for sale, and are separately presented in the consolidated balance sheets, when certain criteria are met and the sale is expected to be completed within one year. Any liabilities directly associated with such assets are also separately presented in the consolidated balance sheets. These assets and liabilities, or disposal groups, are subsequently measured at the lower of their carrying amount or fair value less costs to sell. Non-current assets classified as held for sale are no longer depreciated. Any further gains or losses not previously recognized at the date the long-lived assets are classified as held for sale shall be recognized in earnings at the date of sale.

(h) Property and Equipment

Property and equipment with the exception of land are recorded at cost less accumulated depreciation and any net accumulated impairment losses. Land is carried at cost and not depreciated. For qualifying assets, cost includes interest capitalized during the construction or development period. Construction-in-process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation related to assets used in production is recorded in inventory and cost of goods sold, depreciation related to non-production assets is recorded through selling, general and administrative expense, and calculated on a straight-line basis, after taking into account residual values, over the following expected useful lives of the assets:

Buildings, including other components	15–40 years
Machinery and equipment	3–10 years

Notes to the Consolidated Financial Statements

When parts of an item of property and equipment have different useful lives, those components are accounted for as separate items of property and equipment.

(i) Investment Property

Investment properties are properties owned by the Company that are held to either earn rental income, for capital appreciation, or both. The Company's investment properties include land and buildings.

Investment properties are recorded at cost less accumulated depreciation and any accumulated impairment losses, with the exception of land, which is recorded at cost less any accumulated impairment losses. The depreciation policies for investment properties are consistent with those of property and equipment.

(j) Goodwill and Intangible Assets

Goodwill

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the group of CGUs that are expected to benefit from the synergies of the business combination, but no lower than the level in the Company at which goodwill is monitored for internal management purposes.

Goodwill is not amortized and is tested for impairment annually in the fourth quarter and otherwise as required if events occur that indicate that its carrying amount may not be recoverable. Impairment of goodwill is tested at the CGU group level by comparing the carrying amount to its recoverable amount, consistent with the methodology applied in Note 3(g).

Intangible Assets

Intangible assets include brands, trademarks, delivery routes and customer relationships. Definite life intangible assets are measured at cost less accumulated amortization and any net accumulated impairment losses. Amortization is recognized in the consolidated statements of earnings on a straight-line basis over their estimated useful lives as follows:

Trademarks	10 years
Customer relationships	20–25 years

Indefinite life intangibles are tested for impairment annually in the fourth quarter and otherwise as required if events occur that indicate that the carrying value may not be recoverable.

Upon recognition of an intangible asset the Company determines if the asset has a definite or indefinite life. In making this determination the Company considers the expected use, the nature of the asset, and whether the value of the asset decreases over time.

Notes to the Consolidated Financial Statements

(k) Employee Benefit Plans

The Company provides post-employment benefits through defined benefit and defined contribution plans.

Defined Benefit Plans

The Company accrues obligations and costs in respect of employee defined benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Changes in these assumptions could affect future pension expense. The fair value of plan assets is used as the basis for calculating the expected return on plan assets. The discount rate used to value the defined benefit obligation is based on high-quality corporate bonds in the same currency in which the benefits are expected to be paid and with terms to maturity that, on average, match the terms of the defined benefit obligations. Past service costs arising from plan amendments are amortized on a straight-line basis over the expected remaining vesting period. To the extent that the benefits vest immediately, the expense is recognized in net earnings.

Actuarial gains and losses due to changes in defined benefit plan assets and obligations are recognized immediately in accumulated other comprehensive income (loss). When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

When the calculation results in a benefit (asset), the recognized asset is limited to the total of any unrecognized past service costs and the present value of economic benefits available in the form of future refunds from the plan or reductions in future contributions to the plan (the “asset ceiling”). In order to calculate the present value of economic benefits, consideration is given to minimum funding requirements that apply to the plan. Where it is anticipated that the Company will not be able to recover the value of the net defined benefit asset, after considering minimum funding requirements for future services, the net defined benefit asset is reduced to the amount of the asset ceiling. The impact of the asset ceiling is recognized in comprehensive income.

When the future payment of minimum funding requirements related to past service would result in a net defined benefit asset (surplus) or an increase in a surplus, the minimum funding requirements are recognized as a liability to the extent that the surplus would not be fully available as a refund or a reduction in future contributions. Re-measurement of this liability is recognized in other comprehensive income in the period in which the re-measurement occurs.

Defined Contribution Plans

The Company’s obligations for contributions to employee defined contribution pension plans are recognized in the consolidated statement of earnings in the periods during which services are rendered by employees.

Multi-employer Plans

The Company participates in a multi-employer pension plan which is accounted for as a defined contribution plan. The Company does not administer this plan, but rather the administration and investment of these assets are controlled by a board of trustees consisting of union and employer representatives. The Company’s responsibility to make contributions to this plan is established pursuant to its collective agreements. The contributions made by the Company to the multi-employer plan are expensed when due.

(l) Provisions

Provisions are liabilities of the Company for which the amount and/or timing of settlement is uncertain. A provision is recognized in the consolidated financial statements when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, when appropriate, the risks specific to the liability.

Notes to the Consolidated Financial Statements

(m) Revenue Recognition

The majority of the Company's revenue is derived from the sale of product to retail and foodservice customers. The Company recognizes revenue from product sales at the fair value of the consideration received or receivable, net of estimated returns and an estimate of sales incentives provided to customers. Revenue is recognized when the customer takes ownership of the product, title has transferred, all the risks and rewards of ownership have transferred to the customer, recovery of the consideration is probable, the Company has satisfied its performance obligations under the arrangement, and has no ongoing involvement with the sold product. The value of sales incentives provided to customers is estimated using historical trends and is recognized at the time of sale as a reduction of revenue. Sales incentives include rebate and promotional programs provided to the Company's customers. These rebates are based on achievement of specified volume or growth in volume levels and other agreed promotional activities. In subsequent periods, the Company monitors the performance of customers against agreed upon obligations related to sales incentive programs and makes any required adjustments to both revenue and sales incentive accruals.

Except for fresh bread, the Company generally does not accept returns of spoiled products from customers. For product that may not be returned, the Company in certain cases provides customers with allowances to cover any damage or spoilage, and such allowances are deducted from sales at the time of revenue recognition. In the case of fresh bread, customer returns are deducted from revenue.

(n) Borrowing Costs

Borrowing costs primarily comprise interest on the Company's indebtedness. Borrowing costs are capitalized when they are attributable to the acquisition, construction or production of a qualifying asset. The Company defines qualifying assets as any asset that requires in excess of six months to prepare for its intended use. Borrowing costs are calculated using the Company's average borrowing cost excluding the costs associated with the derecognition of accounts receivable under the securitization program. Borrowing costs that are not attributable to a qualifying asset are expensed in the period in which they are incurred and reported within interest expense in the consolidated statements of earnings.

(o) Income Taxes

Income tax expense comprises current and deferred tax. Income tax is recognized in the consolidated statement of earnings except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income.

Current tax expense represents the amount of income taxes payable in respect of the taxable profit for the period, based on tax law that is enacted or substantially enacted at the reporting date, and is adjusted for changes in estimates of tax expense recognized in prior periods. A current tax liability (or asset) is recognized for income tax payable (or paid but recoverable) in respect of all periods to date.

The Company uses the asset and liability method of accounting for income taxes. Accordingly, deferred tax assets and liabilities are recognized for the deferred tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Deferred tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on deferred tax assets and liabilities of a change in tax rates is recognized in earnings and comprehensive income in the period in which the enactment or substantive enactment takes place. A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable income will be available to utilize such amounts. Deferred tax assets are reviewed at each reporting date and are adjusted to the extent that it is no longer probable the related tax benefits will be realized.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Deferred tax is provided on temporary differences arising on investments in subsidiaries, except where the timing of the reversal of the temporary difference is controlled by the Company and it is probable that the temporary difference will not reverse in the foreseeable future.

Notes to the Consolidated Financial Statements

(p) Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010 the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Instruments – Disclosures

In October 2010, the IASB issued amendments to IFRS 7 *Financial Instruments: Disclosures.* These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. The amendments are effective for annual periods beginning on or after January 1, 2012 and therefore the Company will apply the amendment in the first quarter of 2012. When applied, it is expected that the amendments to IFRS 7 will increase the current level of disclosure of transfers of financial assets.

Financial Assets and Liabilities

In December 2011 the IASB published amendments to International Accounting Standard ("IAS") 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The effective date for the amendments to IFRS 7 is annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify, when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements*, that addresses consolidation, and supersedes SIC-12, Consolidation – *Special Purpose Entities ("SPE"),* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures,* has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Notes to the Consolidated Financial Statements

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adopting IFRS 10, IFRS 11, amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 has not yet been determined.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013. Where required, the Company will apply this amendment retrospectively. The extent of the impact of adoption of the amendments has not yet been determined.

4. ACCOUNTS RECEIVABLE AND NOTES RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a very limited recourse obligation for delinquent receivables. At December 31, 2011, trade accounts receivable being serviced under this program amounted to $91.1 million (December 31, 2010: $83.6 million). In return for the sale of its trade receivables, the Company received cash of $45.3 million (December 31, 2010: $46.0 million) and a note receivable in the amount of $45.8 million (December 31, 2010: $37.6 million). The note receivable is non-interest bearing and is due on the settlement dates of the securitized accounts receivable.

In October 2010, the Company finalized a new trade accounts receivable securitization agreement that requires the sale of trade accounts receivable to be treated as a sale from an accounting perspective and as a result, trade accounts receivable balances sold under this program are derecognized in the consolidated balance sheets as at December 31, 2011 and December 31, 2010. The agreement expires in October 2013.

Notes to the Consolidated Financial Statements

The Company recorded $21.5 million of notes receivable on December 31, 2010, which should have been recorded as accounts receivable in an equivalent amount. These balances have been re-classified in the December 31, 2010 comparative figures. The Company has determined that these amounts were not material to its consolidated financial statements for any prior, interim or annual periods.

Components of accounts receivable are as follows:

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
Trade receivables	$ 40,032	$ 37,917	$ 129,117
Less: Allowance for doubtful accounts	(1,914)	(2,120)	(2,125)
Net trade receivables	38,118	35,797	126,992
Other receivables	18,404	12,467	3,815
	$ 56,522	$ 48,264	$ 130,807

The aging of trade receivables is as follows:

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
Current	$ 37,790	$ 35,934	$ 112,105
Past due 0–30 days	1,338	1,265	12,204
Past due 31–60 days	287	282	2,134
Past due 61–90 days	371	150	985
Past due > 90 days	246	286	1,689
	$ 40,032	$ 37,917	$ 129,117

The Company maintains an allowance for doubtful accounts that represents its estimate of the risk of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individual exposures and a provision based on historical trends of collections.

5. INVENTORIES

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
Raw materials	$ 14,347	$ 12,790	$ 13,434
Work in process	34	31	48
Finished goods	19,692	18,463	19,875
Packaging	9,160	8,699	8,815
Spare parts	16,815	15,494	14,487
	$ 60,048	$ 55,477	$ 56,659

During the year, inventory in the amount of $896.0 million (2010: $897.5 million) was expensed through cost of goods sold. There were no reversals of previous write downs recognized.

Notes to the Consolidated Financial Statements

6. PROPERTY AND EQUIPMENT

Cost	Land	Buildings	Machinery and equipment	Under construction	Total
Balance at January 1, 2011	$ 25,889	$ 176,910	$ 533,588	$ 61,423	$ 797,820
Additions	-	40,678	33,313	38,525	112,516
Disposals, write downs and restructuring charges	(41)	(9,992)	(56,070)	-	(66,103)
Other	(83)	(96)	307	-	128
Interest capitalized	8	37	74	-	119
Foreign currency translation	(27)	(410)	(1,058)	(166)	(1,661)
Balance at December 31, 2011	$ 25,756	$ 207,127	$ 510,154	$ 99,782	$ 842,819
Depreciation and impairment losses					
Balance at January 1, 2011	$ -	$ 61,989	$ 344,485	$ -	$ 406,474
Additions	-	6,354	40,360	-	46,714
Disposals, write downs and restructuring charges	-	(2,577)	(39,126)	-	(41,703)
Other	-	(202)	(1,256)	-	(1,458)
Foreign currency translation	-	(153)	(1,414)	-	(1,567)
Balance at December 31, 2011	$ -	$ 65,411	$ 343,049	$ -	$ 408,460
Carrying amounts					
At December 31, 2011	$ 25,756	$ 141,716	$ 167,105	$ 99,782	$ 434,359
Transfers to Investment Property					(8,415)
Total Property and Equipment					$ 425,944

Notes to the Consolidated Financial Statements

Cost	Land	Buildings	Machinery and equipment	Under construction	Total
Balance at January 1, 2010	$ 25,840	$ 181,704	$ 529,963	$ 28,899	$ 766,406
Additions	–	3,959	29,571	33,065	66,595
Disposals, write downs and restructuring charges	(142)	(4,888)	(12,801)	–	(17,831)
Other	340	(289)	(1,596)	(319)	(1,864)
Interest capitalized	37	49	331	–	417
Foreign currency translation	(176)	(3,625)	(11,880)	(222)	(15,903)
Balance at December 31, 2010	$ 25,899	$ 176,910	$ 533,588	$ 61,423	$ 797,820
Depreciation and impairment losses					
Balance at January 1, 2010	$ –	$ 58,731	$ 320,692	$ –	$ 379,423
Additions	–	6,806	42,398	–	49,204
Disposals, write downs and restructuring charges	–	(2,867)	(10,009)	–	(12,876)
Other	–	117	(1,815)	–	(1,698)
Foreign currency translation	–	(798)	(6,781)	–	(7,579)
Balance at December 31, 2010	$ –	$ 61,989	$ 344,485	$ –	$ 406,474
Carrying amounts					
At December 31, 2010	$ 25,899	$ 114,921	$ 189,103	$ 61,423	$ 391,346
Transfers to investment property					(3,743)
Total property and equipment					$ 387,603

As at January 1, 2010 amounts transferred to investment properties were $4.0 million.

Impairment

During the year the Company recorded $14.4 million (2010: $0.1 million) of impairment through restructuring and other related costs. No reversals of impairments were recognized during the year.

Property and Equipment under Construction

At the end of the year the Company had property and equipment under construction of $99.8 million (2010: $61.4 million). The construction relates to the Hamilton bakery facility. As at December 31, 2011 the Company had entered into construction contracts of $8.8 million.

Borrowing Costs

During the year, borrowing costs of $0.1 million were capitalized (2010: $0.4 million), using an average capitalization rate of 9.6% (2010: 2.7%).

Notes to the Consolidated Financial Statements

7. INVESTMENT PROPERTY

Investment property comprised surplus land and buildings primarily resulting from restructuring activities. The fair value of the Company's investment properties was $11.2 million at December 31, 2011 (2010: $4.4 million), all of which are supported by external independent valuations performed in 2011. During the year, the Company did not generate rental revenue (2010: $nil) from investment properties. Operating costs of $0.5 million (2010: $0.5 million), were recorded through other income. Any impairment losses or reversals of impairment losses on investment property would be recorded through other income. No impairment losses or reversals of impairment losses were recorded in either of 2011 or 2010.

The continuity of investment property for the years ended December 31, 2011 and 2010 is as follows:

Cost		**2011**		2010
Opening balance	**$**	**3,743**	$	3,959
Transfers from property and equipment		**11,794**		41
Foreign currency translation		**(55)**		(257)
Closing balance	**$**	**15,482**	$	3,743
Depreciation				
Opening balance	**$**	**–**	$	–
Depreciation		**7,067**		–
Closing balance	**$**	**7,067**	$	–
Carrying amounts	**$**	**8,415**	$	3,743

Notes to the Consolidated Financial Statements

8. EMPLOYEE BENEFITS

Information about the Company's defined benefit plans as at December 31, in aggregate, is as follows:

	Other post-retirement benefits	Total pensions	2011 Total	Other post-retirement benefits	Total pension	2010 Total
Accrued benefit obligation:						
Balance, beginning of year	**$ 2,009**	**$ 138,578**	**$ 140,587**	$ 1,854	$ 123,663	$ 125,517
Current service cost	**20**	**3,527**	**3,547**	16	2,839	2,855
Interest cost	**98**	**6,884**	**6,982**	103	6,980	7,083
Benefits paid	**(126)**	**(8,675)**	**(8,801)**	(131)	(8,938)	(9,069)
Actuarial losses	**112**	**10,984**	**11,096**	167	12,896	13,063
Employee contributions	-	**866**	**866**	-	838	838
Special termination benefits	-	-	-	-	350	350
Curtailments	-	-	-	-	(50)	(50)
Balance, end of year	**$ 2,113**	**$ 152,164**	**$ 154,277**	$ 2,009	$ 138,578	$ 140,587
Unfunded	**$ 2,113**	**$ 6,486**	**$ 8,599**	$ 2,009	$ 6,091	$ 8,100
Funded[(i)]	-	**145,678**	**145,678**	-	132,487	132,487
Total obligation	**$ 2,113**	**$ 152,164**	**$ 154,277**	$ 2,009	$ 138,578	$ 140,587

(i) includes wholly and partially funded plans

Plan Assets						
Fair value, beginning of year	**$ -**	**$ 103,942**	**$ 103,942**	$ -	$ 98,096	$ 98,096
Expected return on plan assets	-	**7,927**	**7,927**	-	6,875	6,875
Actuarial gains (losses)	-	**(8,383)**	**(8,383)**	-	1,013	1,013
Employer contributions	**126**	**8,166**	**8,292**	131	6,058	6,189
Employee contributions	-	**866**	**866**	-	838	838
Benefits paid	**(126)**	**(8,675)**	**(8,801)**	(131)	(8,938)	(9,069)
Fair value, end of year	**$ -**	**$ 103,843**	**$ 103,843**	$ -	$ 103,942	$ 103,942
Accrued benefit asset (liability), end of year	**$ (2,113)**	**$ (48,321)**	**$ (50,434)**	$ (2,009)	$ (34,636)	$ (36,645)

Notes to the Consolidated Financial Statements

Pension benefit expense recognized in net income:

		2011		2010
Current service cost – defined benefit	$	3,527	$	2,839
Current service cost – defined contribution and multi-employer plan		8,366		8,642
Interest cost		6,884		6,980
Expected return on plan assets		(7,927)		(6,875)
Curtailment gain[(i)]		–		(50)
Special termination benefits[(i)]		–		350
Net benefit plan expense	$	10,850	$	11,886

(i) Included in restructuring and other related costs.

During the year, the Company expensed salaries of $356.0 million (2010: $363.3 million) and benefits of $31.6 million (2010: $32.5 million), excluding pension and other post-retirement benefits.

Amounts recognized in other comprehensive income:

		2011		2010
Actuarial losses	$	(19,479)	$	(12,050)
	$	(19,479)	$	(12,050)

The expected long-term rate of return on plan assets was determined based on the plan's investment mix, noted below, the current rate of inflation and historical equity returns. Actual return on plan assets for the year ended December 31, 2011 was a loss of $0.5 million (2010: gain of $7.9 million).

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and net benefit plan expense are as follows:

	2011	2010
Weighted average discount rate used to calculate the net benefit plan expense	5.00%	5.75%
Weighted average discount rate used to calculate year end benefit obligation	4.50%	5.00%
Expected long-term rate of return on plan assets	7.25%	7.25%
Rate of compensation increase	3.50%	3.50%
Medical cost trend rates	6.50%	7.00%

Notes to the Consolidated Financial Statements

Plan assets comprised of:

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
Equity securities	**59%**	59%	56%
Debt securities	**38%**	35%	44%
Other investments and cash	**3%**	6%	0%
	100%	100%	100%

Other post-retirement benefits expense:

	2011	2010
Current service cost	**$ 20**	$ 16
Interest cost	**98**	103
	$ 118	$ 119

Impact of 1% change in health care cost trend:

	1% Increase	**1% Decrease**
Effect on end-of-year obligation	**$ 72**	**$ (63)**
Aggregate of 2011 current service cost and interest cost	**3**	**(3)**

Measurement dates:

2011 expense	December 31, 2010
Balance sheet	December 31, 2011

The Company plans to contribute $16.1 million to the pension plans in 2012, inclusive of defined contribution plans and the multi-employer plans.

Multi-employer Plan

The Company contributes to the Canadian Bakery and Confectionery Union and Industry Canadian Pension Fund, which is a multi-employer defined benefit plan for employees who are members of the Canadian Bakery and Confectionery Union. This is a large-scale plan for union workers of multiple companies across Canada. Adequate information to account for these contributions as a defined benefit plan in the Company's statements is not available due to the size and number of contributing employers in the plan. Included in the current service cost – defined contribution and multi-employer plan expense of $8.4 million (2010: $8.6 million) was $3.2 million (2010: $1.7 million) related to payments into this plan. The Company expects to make contributions of $3.2 million into this plan for the 2012 year. This is included in the total contributions amount above.

Notes to the Consolidated Financial Statements

9. GOODWILL

	December 31, 2011	December 31, 2010	January 1, 2010
Cost			
Opening balance	**$ 375,894**	$ 386,807	$ 386,807
Foreign currency translation	**2,849**	(10,913)	–
Balance	**$ 378,743**	$ 375,894	$ 386,807
Impairment losses			
Opening balance	**$ (111,618)**	$ (119,078)	$ (119,078)
Foreign currency translations	**(1,112)**	7,460	–
Balance	**$ (112,730)**	$ (111,618)	$ (119,078)
Carrying amounts	**$ 266,013**	$ 264,276	$ 267,729

For the purposes of annual impairment testing, goodwill is allocated to the following groups of Cash Generating Units ("CGUs"), being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose.

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
CGU group			
Canadian fresh bakery	**$ 123,867**	$ 123,867	$ 122,802
North American frozen bakery	**140,121**	138,384	142,902
Fresh pasta	**2,025**	2,025	2,025
	$ 266,013	$ 264,276	$ 267,729

The key assumptions used in the calculation of the recoverable amount as at October 1, 2011 and 2010, were as follows for the significant CGU groups:

	Discount Rate		Growth Rate	
CGU group	**2011**	2010	**2011**	2010
Canadian fresh bakery	**13.20%**	10.70%	**2.50%**	2.60%
North American frozen bakery	**10.85%**	11.50%	**2.83%**	2.80%
Fresh pasta	**10.62%**	10.40%	**2.50%**	2.60%

Notes to the Consolidated Financial Statements

Annual impairment testing involves determining the recoverable amount of each CGU group to which goodwill is allocated, and comparing this to the carrying value of the group. The measure of the recoverable amount of all CGU groups was calculated based on their fair value less costs to sell. As there was no market information available fair value was determined by discounting the future cash flows generated from the continuing use of the group. The calculation of the fair value was based on the following key assumptions:

- Projected cash flows based on the five-year business plan in both 2010 and 2011. Cash flows for a further perpetual period were extrapolated using the growth rate listed above. These rates do not exceed the long-term average growth rate for the industry.
- The five-year business plan includes forecasts up to, and including, the year 2016 and is based on past experience of actual operating results in conjuncture with anticipated future growth opportunities. While the forecast does assume some base business expansion, largely related to innovation, the primary engine of growth is strategic in nature and is consistent with the projects and expectations as articulated in the Company's strategic plan.
- Discount rates as shown in the table above were applied in determining the recoverable amount of each CGU group. The discount rate was estimated based on past experience and the weighted average cost of capital of the Company and other competitors in the industry.

The values assigned to the key assumptions represent Management's assessment of future trends in the industries the CGU groups operate in and are based on both external and internal sources and historical trend data.

10. INTANGIBLE ASSETS

	Indefinite life	Finite life		
Cost	Delivery routes	Trademarks	Customer relationships	Total
Balance at January 1, 2011	$ 1,012	$ 7,932	$ 13,366	$ 22,310
Acquisitions	1,284	281	275	1,840
Dispositions	(946)	–	(830)	(1,776)
Effect of movement in exchange rates	–	8	137	145
Balance at December 31, 2011	$ 1,350	$ 8,221	$ 12,948	$ 22,519
Amortization and impairment losses				
Balance at January 1, 2011		$ 6,125	$ 2,559	$ 8,684
Amortization		652	473	1,125
Balance at December 31, 2011		$ 6,777	$ 3,032	$ 9,809
Carrying amounts				
At December 31, 2011	$ 1,350	$ 1,444	$ 9,916	$ 12,710

Notes to the Consolidated Financial Statements

	Indefinite life	Finite life		
Cost	Delivery routes	Trademarks	Customer relationships	Total
Balance at January 1, 2010	$ 1,141	$ 7,994	$ 14,440	$ 23,575
Acquisitions	–	–	–	–
Dispositions	(129)	–	–	(129)
Effect of movement in exchange rates	–	(62)	(1,074)	(1,136)
Balance at December 31, 2010	$ 1,012	$ 7,932	$ 13,366	$ 22,310
Amortization and impairment losses				
Balance at January 1, 2010		$ 5,400	$ 1,497	$ 6,897
Amortization		727	545	1,272
Impairment loss		–	623	623
Effect of movement in exchange rates		(2)	(106)	(108)
Balance at December 31, 2010		$ 6,125	$ 2,559	$ 8,684
Carrying amounts				
At January 1, 2010	$ 1,141	$ 2,594	$ 12,943	$ 16,678
At December 31, 2010	$ 1,012	$ 1,807	$ 10,807	$ 13,626

Amortization

Amortization is recorded through cost of goods sold or selling, general and administrative expenses depending on the nature of the asset.

Indefinite Life Intangibles

The following table summarizes the indefinite life intangible assets by CGU group:

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
CGU groups			
Fresh bakery	**$ 1,350**	$ 1,012	$ 1,141
North American frozen bakery	–	–	–
Fresh pasta	–	–	–
	$ 1,350	$ 1,012	$ 1,141

The Company performs annual impairment testing on its indefinite life intangible assets. Annual impairment testing, consistent with the impairment testing for goodwill as described in Note 9, involves determining the recoverable amount of each indefinite life intangible asset and comparing it to the carrying value. The recoverable values of the Company's indefinite life intangible assets are determined as follows:

Delivery Routes

The recoverable value of delivery routes is determined based on discounted projected cash flows.

Notes to the Consolidated Financial Statements

11. PROVISIONS

	Legal	Environ-mental	Lease make-good	Restructuring[(i)]	Total
Balance at January 1, 2011	**$ –**	**$ 1,495**	**$ 4,745**	**$ 13,068**	**$ 19,308**
Charges	**119**	**–**	**–**	**46,357**	**46,476**
Cash payment	**–**	**–**	**–**	**(14,125)**	**(14,125)**
Non-cash items	**–**	**–**	**(1,235)**	**(22,353)**	**(23,588)**
Balance at December 31, 2011	**$ 119**	**$ 1,495**	**$ 3,510**	**$ 22,947**	**$ 28,071**
Current					**$ 23,066**
Non-current					**5,005**
Total					**$ 28,071**

	Legal	Environ-mental	Lease make-good	Restructuring[(i)]	Total
Balance at January 1, 2010[(ii)]	$ –	$ 1,575	$ 5,222	$ 3,919	$ 10,716
Charges	–	–	–	15,548	15,548
Cash payment	–	–	–	(3,987)	(3,987)
Non-cash items	–	(80)	(477)	(2,412)	(2,969)
Balance at December 31, 2010	$ –	$ 1,495	$ 4,745	$ 13,068	$ 19,308
Current					$ 13,068
Non-current					6,240
Total					$ 19,308

(i) For additional information on restructuring, see the table below.

(ii) Balance at January 1, 2010 includes current portion of $3.9 million and non-current portion of $6.8 million.

Restructuring and Other Related Costs

During the year ended December 31, 2011, the Company recorded restructuring and other related costs of $46.4 million ($35.3 million after-tax).

Of this amount, $24.2 million was incurred by the U.K. bakery business, related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancellation charges of $7.8 million, asset write downs and accelerated depreciation of $11.7 million, and other costs of $0.7 million. The Company also incurred $9.3 million in restructuring costs related to the closure of the Laval, Quebec frozen bakery and the Delta, British Columbia fresh bakery and $2.9 million of restructuring costs related to the sale of the sandwich product line. The Company also recorded $7.5 million in restructuring costs for initiatives across the Company related to changes in management structure and related severances. The balance of the restructuring costs of $2.5 million was incurred in connection with other ongoing restructuring initiatives of the Company.

Notes to the Consolidated Financial Statements

During the year ended December 31, 2010, the Company recorded restructuring and other related costs of $15.5 million ($11.6 million after-tax). Of this pre-tax amount, $10.4 million related to the Company's announcement to consolidate several fresh bakery facilities into one new bakery in Ontario. In addition, $2.0 million of these costs related to the realignments of the U.K. bakery operations. The Company also incurred $1.1 million in restructuring costs related to the sale of a fresh prepared foods facility in Quebec. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at December 31, 2011, all on a pre-tax basis:

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2011	**$ 11,228**	**$ 1,456**	**$ –**	**$ 384**	**$ –**	**$ 13,068**
Charges	**15,299**	**9,027**	**21,011**	**1,020**	**–**	**46,357**
Cash payments	**(11,552)**	**(2,365)**	**–**	**(208)**	**–**	**(14,125)**
Non-cash items	**–**	**(1,342)**	**(21,011)**	**–**	**–**	**(22,353)**
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2010	$ 2,272	$ 1,647	$ –	$ –	$ –	$ 3,919
Charges	11,721	1,529	1,614	384	300	15,548
Cash payments	(2,267)	(1,720)	–	–	–	(3,987)
Non-cash items	(498)	–	(1,614)	–	(300)	(2,412)
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068

Notes to the Consolidated Financial Statements

12. BANK INDEBTEDNESS AND LONG-TERM DEBT

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
Bank indebtedness (c)	**$ 3,153**	$ 7,777	$ 4,247
Due to Maple Leaf Foods Inc. (a)	**$ 2,364**	$ 2,332	$ 2,547
Southern Ontario Development Program (b)	**1,722**	1,629	–
	$ 4,086	$ 3,961	$ 2,547
Less: Current portion	**2,452**	2,332	–
Long-term debt	**$ 1,634**	$ 1,629	$ 2,547

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf, the Company's controlling shareholder, to provide liquidity for general corporate purposes, repayable on June 30, 2012. The facility bears interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar and British Pound Sterling loans.

Net interest incurred under this facility with Maple Leaf was $0.3 million in 2011 (2010: $2.3 million).

(b) During 2010, the Company received a government loan of $2.0 million from the Southern Ontario Development Program administered by the Federal Economic Development Agency. The loan is interest free and has monthly repayment requirements from 2012 to 2017. The Company recorded the proceeds of the loan at fair value of $1.6 million calculated using a discounted cash flow analysis and the loan is carried at amortized cost on the balance sheet.

(c) The Company has a demand operating line of credit of £5.0 million ($7.9 million) to provide short-term funding for its U.K. operations. The facility has interest based on LIBOR rates. As at December 31, 2011, £2.0 million ($3.2 million) (December 31, 2010: £5.0 million ($7.8 million) and January 1, 2010: £2.5 million ($4.2 million)) was outstanding and has been classified as bank indebtedness.

(d) The Company has facilities available on demand of $28.1 million (December 31, 2010: $20.0 million and January 1, 2010: $20.5 million) which include an overdraft operating facility of £5.0 million ($7.9 million) and two operating facilities, one of US$10.0 million ($10.2 million) and one of $10.0 million, which bear interest at short-term rates. At December 31, 2011, £4.4 million ($6.9 million) was utilized under these facilities (December 31, 2010: $nil and January 1, 2010: $nil) and this utilization reduced the Company's cash and cash equivalents.

(e) The Company has a demand letter of credit facility of $10.0 million (2010: $10.0 million) of which $9.8 million as at December 31, 2011 (2010: $9.1 million) was utilized.

(f) The Company's weighted average cost of borrowing for 2011 was 3.8% (2010: 5.5%) including the impact of amortization of losses on terminated interest rate swaps (Note 15).

Required repayments of long-term debt are as follows:

2012	$ 2,452
2013	344
2014	344
2015	344
2016	344
Thereafter	258
Total long-term debt	**$ 4,086**

Notes to the Consolidated Financial Statements

13. CAPITAL AND OTHER COMPONENTS OF EQUITY

Common Shares

At December 31, 2011 there were 25,416,812 shares outstanding (December 31, 2010 and January 1, 2010: 25,416,812). There were no share transactions during the year.

The authorized share capital consists of an unlimited number of common shares and 25,000 preference shares. These shares have no par value.

The holders of common shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

Accumulated Other Comprehensive Loss

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at January 1, 2011	**$ (14,050)**	**$ (46)**	**$ –**	**$ (14,096)**
Other comprehensive gain (loss)	**3,307**	**574**	**(14,448)**	**(10,567)**
Transfer to retained earnings	**–**	**–**	**14,448**	**14,448**
Balance at December 31, 2011	**$ (10,743)**	**$ 528**	**$ –**	**$ (10,215)**

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at January 1, 2010	$ –	$ (5,634)	$ –	$ (5,634)
Other comprehensive (loss) gain	(14,050)	5,588	(8,815)	(17,277)
Transferred to retained earnings	–	–	8,815	8,815
Balance at December 31, 2010	$ (14,050)	$ (46)	$ –	$ (14,096)

The change in accumulated foreign currency translation adjustments includes tax of $nil for the year ended December 31, 2011 (2010: $nil).

The change in unrealized gain on cash flow hedges includes tax of $0.2 million for the year ended December 31, 2011 (2010: loss of $2.0 million).

The Company estimates that $0.5 million of the unrealized gain included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year ended December 31, 2011, a loss of $1.1 million net-of-tax was released to earnings from accumulated other comprehensive loss and is included in the net change for the period (2010: loss of $5.1 million net-of-tax).

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, the unamortized, unrealized derivative losses on the termination of interest rate swaps of $5.9 million in accumulated other comprehensive loss, which hedged interest rate risk on the previous facility, was released to earnings in 2010.

Notes to the Consolidated Financial Statements

Dividends

The following dividends were declared and paid by the Company:

		2011		2010
$0.66 per qualifying common share (2010: $0.24)	**$**	**16,777**	$	6,100

14. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt and internal cash flows.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily net debt to earnings before interest, tax, depreciation and amortization ("EBITDA") and EBITDA to interest expense.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment-grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation, amortization, and restructuring and other related costs. The Company's primary credit facility with Maple Leaf was amended on December 27, 2011 to extend the final maturity date to June 30, 2012 and to adjust pricing to reflect increases in market prices for similar loans. This revolving credit facility, which provides for available credit of up to $250.0 million is unsecured and is subject to certain financial covenants. As at December 31, 2011, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company uses operating leases and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[(i)]	Held-for-trading

(i) These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.

Notes to the Consolidated Financial Statements

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held-for-trading are recorded at fair value. The carrying value of long-term debt as at December 31, 2011 is $4.1 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2011 approximately $0.6 million (2010: $0.4 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at December 31, 2011, the Company has recorded an allowance for doubtful accounts of $1.9 million (2010: $2.1 million). Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 41.0% (2010: 35.7%) of consolidated pre-securitized accounts receivable at December 31, 2011 and the two largest customers comprise approximately 30.8% (2010: 30.2%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

Notes to the Consolidated Financial Statements

The contractual undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	December 31, 2011		
	Due within 1 year	Due after 1 year	**Total**
Non-derivative financial liabilities			
Bank indebtedness	$ 3,153	$ –	**$ 3,153**
Accounts payable and accrued charges	185,811	–	**185,811**
Due to Maple Leaf Foods Inc.	2,451	–	**2,451**
Dividends payable	5,083	–	**5,083**
Long-term debt[(i)]	2,452	1,634	**4,086**
Total	**$ 198,950**	**$ 1,634**	**$ 200,584**

(i) Does not include contractual interest payments.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2011, the Company had available undrawn committed credit of $247.6 million under the terms of its principal credit facility with Maple Leaf.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk.

At December 31, 2011, the Company had variable rate debt of $5.5 million (2010: $10.1 million) with a weighted average interest rate of 2.2% (2010: 2.3%). In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2011, the amount borrowed pursuant to this program was $45.3 million (2010: $46.0 million) at a weighted average interest rate of 2.1% (2010: 2.4%). The maximum borrowing available to the Company under this program is $60.0 million.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

As at December 31, 2011, 96.7% (2010: 97.2%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Notes to the Consolidated Financial Statements

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars and investments in foreign operations.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges.

It is estimated that, all else constant, an adverse hypothetical 10.0% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $2.6 million ($1.9 million after-tax) and an offsetting change in other comprehensive income of $2.6 million ($1.9 million after-tax).

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use fixed price contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The fair values and notional amounts of derivative financial instruments at December 31 are shown below:

	2011			2010		
	Notional amount[(i)]	**Fair value**		Notional amount[(i)]	Fair value	
		Asset	**Liability**		Asset	Liability
Cash flow hedges						
Foreign exchange forward contracts	**$ 25,716**	**$ 716**	**$ –**	$ –	$ –	$ –
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts[(ii)]	**$ 43,241**	**$ 82**	**$ –**	$ 47,624	$ –	$ 427
Commodity futures contracts	**3,777**	**20**	**–**		–	–
Total		**$ 818**	**$ –**		$ –	$ 427
Current		**$ 818**	**$ –**		$ –	$ 204
Non-current		**–**	**–**		–	223
Total		**$ 818**	**$ –**		$ –	$ 427

(i) Notional amounts are stated at the contractual Canadian dollar equivalent.

(ii) The majority of the amount relates to related party foreign exchange contracts with Maple Leaf Foods Inc.

For the years ended December 31, 2011 and 2010, the amount of hedge ineffectiveness recognized in earnings was not material.

Notes to the Consolidated Financial Statements

Fair Value Hierarchy

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements. Each level is based on the following:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Commodity futures contracts	$ 20	$ –	$ –	**$ 20**
Foreign exchange forward contracts	–	798	–	**798**
	$ 20	**$ 798**	**$ –**	**$ 818**

There were no transfers between levels during the year ended December 31, 2011.

15. OTHER INCOME (EXPENSE)

	2011	2010
Loss on termination of interest rate swaps (Note 13)	**$ –**	$ (5,876)
Loss on sale of property and equipment	**(232)**	(126)
Other	**646**	183
	$ 414	$ (5,819)

16. INTEREST EXPENSE

	2011	2010
Interest expense on securitized receivables	**$ 978**	$ 1,455
Deferred finance charge	**227**	–
Interest expense on long-term debt	**133**	217
Amortization of terminated interest rate swaps	**–**	2,089
Other interest income	**(167)**	(452)
Interest capitalized (Note 6)	**(119)**	(418)
	$ 1,052	$ 2,891

Notes to the Consolidated Financial Statements

17. INCOME TAXES

The components of income tax expense were as follows:

		2011		2010
Current tax expense				
Current year	$	**17,387**	$	30,355
Adjustment for prior periods		**(247)**		106
	$	**17,140**	$	30,461
Deferred tax expense				
Origination and reversal of temporary differences		**(8,226)**		(5,473)
Change in tax rates		**1,931**		224
	$	**(6,295)**	$	(5,249)
Total income tax expense	$	**10,845**	$	25,212

Reconciliation of effective tax rate

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

		2011		2010
Income tax expense according to combined statutory rate of 28.0% (2010: 30.1%)	$	**17,580**	$	26,307
Increase (decrease) in income tax resulting from:				
Deferred tax expense relating to changes in tax rates		**1,931**		224
Tax rate differences in other jurisdictions		**(1,448)**		(720)
Manufacturing and processing credit		**(570)**		(829)
Tax adjustments related to prior acquisitions		**(12,436)**		(1,500)
Non-deductible expenses		**256**		112
Unrecognized income tax benefit of losses		**5,221**		2,405
Other		**311**		(787)
	$	**10,845**	$	25,212

Income tax recognised in other comprehensive income

		2011		2010
Foreign exchange	$	**–**	$	68
Pension adjustments		**(5,031)**		(3,235)
Foreign exchange forward contracts		**178**		(123)
Interest rate swaps		**–**		2,100
	$	**(4,853)**	$	(1,190)

Notes to the Consolidated Financial Statements

Deferred Tax Assets and Liabilities

Recognized deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
Deferred tax assets:			
Tax losses carried forward	$ 19,423	$ 15,836	$ 9,456
Employee benefits	12,870	11,917	8,677
Accrued liabilities	6,183	3,806	1,421
Other	118	236	3,362
	$ 38,594	$ 31,795	$ 22,916
Deferred tax liabilities:			
Property and equipment	$ 22,683	$ 25,684	$ 24,874
Goodwill and other intangible assets	17,019	15,435	15,431
Other	2,759	5,541	5,007
	$ 42,461	$ 46,660	$ 45,312
Classified in the consolidated financial statements as:			
Deferred tax asset – non-current	$ 17,917	$ 9,543	$ 5,887
Deferred tax liability – non-current	(21,784)	(24,408)	(28,283)
	$ (3,867)	$ (14,865)	$ (22,396)

Recognized deferred tax assets

The Company has recognized deferred tax assets in the amount of approximately $19.4 million (December 31, 2010: $15.8 million; January 1, 2010: $9.5 million), relating primarily to tax losses carried forward by subsidiaries in the U.K. and Canada. These deferred tax assets are based on the Company's estimate that the relevant subsidiaries will earn sufficient taxable profits to fully utilize these tax losses in the appropriate carry over periods.

Unrecognized deferred tax assets

The Company has unrecognized deferred tax assets in the amount of approximately $34.8 million (December 31, 2010: $29.1 million; January 1, 2010: $32.4 million), relating primarily to tax losses carried forward in the U.S. and in Canada. These tax losses carried forward consist primarily of net operating losses ("NOLs") relating to a U.S. subsidiary and capital losses of the Company. The amount of NOLs is approximately $98.6 million (December 31, 2010: $83.6 million; January 1, 2010: $82.5 million). These NOLs expire in the years from 2021 to 2031. The capital loss of the Company is approximately $49.9 million (December 31, 2010: $49.9 million; January 1, 2010: $49.9 million). This capital loss does not expire.

Unrecognized deferred tax liabilities

Deferred tax is not recognized on the unremitted earnings of subsidiaries and other investments as the Company is in a position to control the reversal of the temporary difference and it is probable that such differences will not reverse in the foreseeable future. The unrecognized temporary difference for the Company's foreign subsidiaries at December 31, 2011 is $116.9 million (December 31, 2010: $136.1 million; January 1, 2010: $135.4 million).

Notes to the Consolidated Financial Statements

18. COMMITMENTS AND CONTINGENCIES

(a) The Company has been named as defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company and its subsidiaries enter into sales commitments with customers, and purchase commitments with suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company, certain assets that have an estimated fair value of $3.7 million (2010: $7.2 million). The Company believes that these contracts serve to reduce risk, and does not anticipate that losses will be incurred on these contracts.

(c) The Company has entered into a number of construction contracts as a part of its Hamilton bakery facility. Contract commitments at the end of 2011 were $8.8 million.

(d) The Company has operating lease, rent and other commitments that require minimum annual payments as follows:

2012	$	19,387
2013		14,190
2014		9,976
2015		7,211
2016		4,930
Thereafter		12,603
	$	**68,297**

During the year ended December 31, 2011 an amount of $23.6 million was recognized as an expense in earnings in respect of operating leases (2010: $25.6 million).

19. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf.

Fees paid to Maple Leaf in 2011 for these services were $47.4 million (2010: $50.5 million). At December 31, 2011, the total outstanding balance payable to Maple Leaf was $2.5 million (December 31, 2010: $5.3 million, January 1, 2010: $3.8 million).

The Company has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on June 30, 2012. This is described more fully in Note 12.

McCain Foods Limited was partly owned by McCain Capital Corporation ("MCC"), which was a 31.3% shareholder of the Company's parent company until December 2, 2011. On December 2, 2011, MCC reorganized its shareholdings such that it is no longer a related party of the Company. As a result of this, the Company is no longer a related party with McCain Foods Limited and its subsidiaries.

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party to the Company until December 2, 2011. For the period of the year that Day & Ross Transportation Group was a related party, the Company paid Day & Ross Transportation Group $2.2 million (for the year ended December 31, 2010: $1.6 million) for services in the normal course of business and at market prices. Trade payables to Day & Ross Transportation Group as at December 31, 2010 were $0.2 million and as at January 1, 2010 were $0.1 million.

Notes to the Consolidated Financial Statements

The Company sponsors a number of defined benefit and defined contribution plans as described in Note 8. The Company's contributions to these plans were $13.1 million in 2011 (2010: $11.1 million).

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any external directors of the Company.

Remuneration of key management of the Company comprised of the following expenses:

		2011		2010
Short-term employee benefits				
Salaries, bonuses and fees	$	6,358	$	6,443
Company car allowance		153		150
Other benefits		68		68
Total short-term employee benefits	$	6,579	$	6,661
Post-employment benefits		372		326
Share-based benefits[(i)]		4,697		3,728
Total remuneration	$	11,648	$	10,715

(i) The share-based benefits were granted by the Company's parent company.

During 2011, key management of the Company did not exercise any share options granted under Maple Leaf Foods Share Incentive Plan (2010: 70,000 options were exercised with total exercise price of $0.7 million).

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, the unamortized, unrealized derivative losses on the termination of interest rate swaps of $5.9 million in accumulated other comprehensive loss, which hedged interest rate risk on the previous facility, was released to earnings in 2010. The counterparty of these interest rate swaps was Maple Leaf.

20. GOVERNMENT INCENTIVES

During 2010, the Company received an interest free loan of $2.0 million from the Federal Economic Development Agency related to the construction of the new bakery in Hamilton, Ontario. The loan is repayable over a period of five years beginning 2012. The Company received other incentives totalling $0.2 million in 2010. These incentives were recorded as reductions of cost of goods sold in the consolidated statements of earnings.

21. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures, and have their own marketing strategies and brands. The Company's Management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery comprises fresh bakery products; sweet goods; specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

(c) Non-allocated assets comprises corporate assets not separately identifiable to business segment groups. These include, but are not limited to, corporate property, plant and equipment, investment properties, and tax balances.

Notes to the Consolidated Financial Statements

	2011	2010
Sales		
Fresh Bakery	**$ 1,087,335**	$ 1,086,827
Frozen Bakery	**508,121**	501,610
	$ 1,595,456	$ 1,588,437
Earnings before restructuring and other related costs and other income		
Fresh Bakery	**$ 99,857**	$ 100,180
Frozen Bakery	**9,934**	11,362
	$ 109,791	$ 111,542
Capital expenditures		
Fresh Bakery	**$ 95,788**	$ 47,880
Frozen Bakery	**16,729**	18,715
	$ 112,517	$ 66,595
Depreciation and amortization		
Fresh Bakery	**$ 27,029**	$ 27,183
Frozen Bakery	**20,810**	23,293
	$ 47,839	$ 50,476

	As at December 31, 2011	As at December 31, 2010	As at January 1, 2010
Total assets			
Fresh Bakery	**$ 516,485**	$ 438,362	$ 460,125
Frozen Bakery	**368,534**	371,825	408,229
Non-allocated assets	**79,456**	102,758	61,728
	$ 964,475	$ 912,945	$ 930,082
Goodwill			
Fresh Bakery	**$ 125,892**	$ 125,892	$ 124,827
Frozen Bakery	**140,121**	138,384	142,902
	$ 266,013	$ 264,276	$ 267,729

Information about Geographic Areas

Property, equipment and investment property located outside of Canada was $105.7 million (2010: $123.3 million). Of this amount, $65.0 million (2010: $72.1 million) was located in the U.S. and $40.7 million (2010: $51.2 million) was located in the U.K.

Goodwill attributed to operations located outside of Canada was $86.7 million (2010: $84.9 million), which is all attributed to operations in the U.S.

Information about Major Customers

During the year, the Company reported sales to two customers, each representing greater than 10%. Sales to one customer represented 18.5% (2010: 18.0%) of total sales, while sales to the second customer represented 12.3% (2010: 12.2%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery segments.

Notes to the Consolidated Financial Statements

22. TRANSITION TO INTERNATIONAL FINANCIAL REPORTING STANDARDS

These are the first audited annual consolidated financial statements that comply with IFRS. The accounting policies set out in Note 3 have been applied in preparing the consolidated financial statements for the year ended December 31, 2011, the comparative information presented in these consolidated financial statements for the year ended December 31, 2010, and in the preparation of the opening consolidated balance sheets at January 1, 2010.

First-time adopters of IFRS must apply the provisions of IFRS 1. IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the reporting date (December 31, 2011) with certain optional exemptions and certain mandatory exceptions. The IFRS 1 optional exemptions and mandatory exceptions applied in the conversion from previous Canadian GAAP to IFRS are outlined below.

An explanation of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance, and cash flows, is set out in the following reconciliations and the explanatory notes that accompany the reconciliations. Reconciliations of the consolidated statements of earnings, comprehensive income and shareholders' equity for the respective periods are below. Changes to the cash flows were not material as a result of the conversion to IFRS.

IFRS 1 Optional Exemptions

1. *Business Combinations* – IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to January 1, 2010 ("transition date") in accordance with *IFRS 3 Business Combinations*. The retrospective basis would require restatement of all business combinations that occurred prior to the transition date. The Company elected not to retrospectively apply IFRS 3 to business combinations that occurred prior to the transition date and such business combinations have not been restated. Any goodwill arising on such business combinations prior to the transition date has not been adjusted from the carrying value previously determined under Canadian GAAP.

2. *Fair Value as Deemed Cost* – IFRS 1 allows an entity to elect to measure property and equipment at fair value in the opening IFRS balance sheet. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in IAS 16 *Property, Plant and Equipment*, to arrive at the carrying value of property and equipment at the transition date. The Company elected to retrospectively apply the historical cost model for property and equipment on the transition date.

3. *Employee Benefits* – IFRS 1 provides the option to retrospectively apply the "corridor approach" under IAS 19 *Employee Benefits*, for the recognition of actuarial gains and losses, or to recognize all cumulative gains and losses deferred under previous Canadian GAAP in opening retained earnings at the transition date. The Company elected to recognize all cumulative actuarial gains and losses that existed on the transition date in opening retained earnings for all of its employee benefit plans.

4. *Cumulative Currency Translation Differences* – Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21 *The Effects of Changes in Foreign Exchange Rates*, from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation differences retrospectively and to reset cumulative translation gains and losses to zero at the transition date. The Company elected to reset all cumulative translation gains and losses that existed in the cumulative translation adjustment ("CTA") balance to zero in opening retained earnings at the transition date. The CTA balance as of January 1, 2010 of $48.8 million was recorded as an adjustment to retained earnings, with an offset to accumulated other comprehensive income resulting in no impact on total equity.

5. Decommissioning Liabilities Included in the Cost of Property and Equipment – IFRS 1 allows an entity to elect not to retrospectively apply the requirements of IFRIC 1 *Changes in Existing Decommissioning, Restoration and Similar Liabilities.* The Company elected not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the transition date.

6. Borrowing Costs – IAS 23 *Borrowing Costs*, requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as either the transition date or an earlier date. The Company elected to apply the transitional provisions of IAS 23 and chose the transition date as the date to commence the capitalization of borrowing costs to all qualifying assets.

Notes to the Consolidated Financial Statements

IFRS 1 Mandatory Exceptions

1. *Hedge Accounting* – Hedge accounting may only be applied prospectively from the transition date to transactions that meet the hedge accounting criteria in IAS 39 *Financial Instruments – Recognition and Measurement*, at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively. The Company designated all hedges appropriately under IFRS as of the transition date.

2. Estimates – Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

Reconciliations of Canadian GAAP to IFRS

In preparing its opening IFRS consolidated financial statements, the Company has adjusted amounts reported previously in financial statements prepared in accordance with Canadian GAAP. An explanation of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance is set out below.

(i) Reconciliation of Shareholders' Equity as Reported under Canadian GAAP to IFRS

The following is a reconciliation of the Company's shareholders' equity reported in accordance with Canadian GAAP to its shareholders' equity in accordance with IFRS:

	Note	December 31, 2010	January 1, 2010
Shareholders' equity under Canadian GAAP		$ 785,846	$ 747,087
Differences increasing (decreasing) reported shareholders' equity:			
Property and equipment	1	(5,577)	(5,454)
Impairment of goodwill	2	(111,618)	(119,078)
Employee benefits	3	(39,210)	(31,558)
Capitalization of borrowing costs	4	417	–
Deferred income taxes	5	9,137	9,303
Shareholders' equity under IFRS		**$ 638,995**	**$ 600,300**

1. *Property and Equipment*

IFRS provides more specific guidance than Canadian GAAP on the capitalization and componentization of property and equipment. Specifically, IFRS requires that each part of an identifiable item of property and equipment with a cost that is significant in relation to the total cost of the item shall be capitalized and depreciated separately. As a result of this difference, the Company determined that certain assets must be separately capitalized components under IFRS. The retrospective application of this standard resulted in a decrease in shareholders' equity, being the cumulative incremental depreciation that would have been expensed in prior periods had these assets been separately identified and depreciated.

2. Impairment of Goodwill

Under IFRS, the Company measures a CGU's recoverable amount based on the higher of fair value less costs to sell and value in use, calculated using estimated future cash flows discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Under Canadian GAAP impairment was evaluated using a two-step process whereby the recoverable amount was compared to the carrying value. If the recoverable amount was less than its carrying value, then the impairment loss was measured and recognized based on the fair value of the asset or asset group.

Notes to the Consolidated Financial Statements

Goodwill was tested for impairment for each applicable CGU group as at January 1, 2010 and October 1, 2010 (the annual impairment testing date) by comparing the CGU group's carrying amount to its recoverable amount. The application of IFRS resulted in an impairment loss at transition of $119.1 million using future estimated cash flows over a period of five years, present valued based on a range of discount rates from 10.4% to 12.4%, with an ending terminal value determined using growth rates ranging from 2.6% to 2.8%. Future cash flows were based upon Management forecasts, and reflected Management's best estimate at the time.

The impairment loss at transition was attributed to the U.K. Bakery ($88.9 million) and Sandwich products ($30.2 million).

3. Employee Benefits

The election to recognize all unrecognized cumulative actuarial gains and losses into opening retained earnings resulted in a decrease in total shareholders' equity at transition. In addition, unrecognized past service costs that were vested and the transition amount under Canadian GAAP were recognized in opening retained earnings, at the transition date. On an ongoing basis, the Company elected to recognize all actuarial gains and losses immediately in the consolidated statements of comprehensive income.

IFRS provides more specific guidance on the recognition of employee benefit assets and liabilities. Specifically, the recognition of the value of an over-funded employee benefit plan is limited to the amount of the surplus that is considered recoverable. In addition, a liability is recognized under IFRS for minimum funding obligations that the Company may have under an employee benefit plan. The application of this difference results in a decrease in shareholders' equity.

The Company transferred the change in actuarial gains and loss and the change in asset ceiling and minimum funding requirements from accumulated other comprehensive income to retained earnings as of December 31, 2010 in the amount of $8.8 million.

During the fourth quarter the Company identified a reduction of employee benefits of $0.8 million relating to the transition.

4. Capitalization of Borrowing Costs

This increase in shareholders' equity is the result of the Company's election to capitalize borrowing costs in respect of qualifying assets as of the transition date.

5. Deferred Income Taxes

The increase in shareholders' equity related to deferred taxes reflects the change in temporary differences resulting from the effect of the other transitional adjustments. During the fourth quarter the Company identified a reduction of $0.2 million relating to the transition.

(ii) Reconciliation of Net Earnings as Reported under Canadian GAAP to IFRS

Year ended December 31	Note		2010
Net earnings under Canadian GAAP		$	60,975
Differences increasing (decreasing) reported net earnings:			
Depreciation of asset components	1		(83)
Leasehold improvements	2		(234)
Capitalization of borrowing costs	3		417
Employee benefits	4		1,382
Income taxes	5		(385)
Net earnings under IFRS		**$**	**62,072**

Notes to the Consolidated Financial Statements

1. Depreciation of Asset Components

The adoption of IFRS resulted in separately capitalizing components of certain assets where the components were significant and had different useful lives than the previously recorded asset. The depreciation of these separate components resulted in a change in depreciation expense under IFRS compared to Canadian GAAP.

2. Leasehold Improvements

Under IFRS the Company has recognized additional costs of leasehold improvements. The amortization of these additional costs results in this difference.

3. Capitalization of Borrowing Costs

Interest expense is reduced due to the capitalization of borrowing costs to qualifying assets.

4. Employee Benefits

Under IFRS, the Company elected to recognize all actuarial gains and losses related to the employee defined benefit plans in the consolidated statements of comprehensive income. This election has resulted in a reduction of net earnings as actuarial gains and losses were previously recognized in net earnings under Canadian GAAP using the corridor method and amortization of vested past service costs and transitional amounts were also previously recognized in net earnings under Canadian GAAP.

5. Income Taxes

Deferred income taxes are impacted by the changes in temporary differences resulting from the effect of the IFRS reconciling items described above.

(iii) Reconciliation of Comprehensive Income as Reported under Canadian GAAP to IFRS

Year ended December 31	Note		2010
Comprehensive income under Canadian GAAP		$	44,859
Differences increasing reported amount:			
Differences in net earnings	1		1,097
Leasehold improvements	2		194
Impairment of goodwill	3		7,460
Employee benefits	4		(8,815)
Comprehensive income under IFRS		**$**	**44,795**

1. Differences in Net Earnings

Reflects the differences in net earnings between Canadian GAAP and IFRS as described in the *Reconciliation of Net Earnings as Reported under Canadian GAAP to IFRS*.

2. Leasehold Improvements

Reflects the foreign currency translation of the foreign denominated component of the adjustments related to leasehold improvements.

3. Impairment of Goodwill

Reflects the foreign currency translation of the foreign denominated component of the $119.1 million impairment loss recognized at transition.

4. Employee Benefits

Under IFRS, the Company elected to recognize all actuarial gains and losses related to the employee defined benefit plans in the consolidated statements of comprehensive income. This election has resulted in a reduction of net earnings as actuarial gains or losses were previously recognized in net earnings under Canadian GAAP using the corridor method.

Corporate Information

DIRECTORS

Michael H. McCain
Chairman of the Board

Richard A. Lan
President and Chief Executive Officer

William E. Aziz
Sarah A. Everett
J. Scott McCain
John F. Petch
Michael H. Vels

CORPORATE OFFICE

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Toronto, Ontario M9B 6H7
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STOCK EXCHANGE LISTING AND STOCK SYMBOL

The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

COMPANY INFORMATION

For public inquiries, please call 416-926-2000. Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request. Please contact: 416-926-2000.

ANNUAL MEETING

The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 9, 2012 at 2:30 p.m.

AUDITORS

KPMG LLP

REGISTRAR AND TRANSFER AGENT

Computershare Investor Services Inc.

SHAREHOLDER INFORMATION

Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
100 University Avenue, 9th Floor
North Tower, Toronto, Ontario
M5J 2Y1 Canada
Tel: 514-982-7555 or
1-800-564-6253
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For Investor Relations, please call 416-926-2005.

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